UNIT - I

Introduction to Organizational Behaviour

1. Meaning of Organizational Behaviour (OB)

- **Organization** = a group of people working together in a structured way to achieve common goals.
- **Behaviour** = the way a person acts, reacts and responds to situations — what people say, do, think and feel.
- **OB** is the systematic study of how individuals and groups behave inside organisations, and how this behaviour affects the organisation's performance.
- It is an **applied behavioural science** — borrows ideas from psychology, sociology, anthropology, political science, economics and social psychology.
- Main aim: to **understand, predict, explain and control (direct)** human behaviour at work and improve effectiveness.

Simple meaning

OB = Study of Individuals + Groups + Structure, and their impact on the working of the organisation.

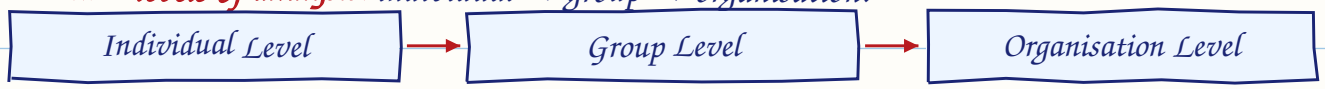
2. Definitions

1. **Stephen P. Robbins:** "OB is a field of study that investigates the impact that individuals, groups and structure have on behaviour within organisations, for the purpose of applying such knowledge towards improving an organisation's effectiveness."
2. **Fred Luthans:** "OB is directly concerned with the understanding, prediction and control of human behaviour in organisations."
3. **Keith Davis:** "OB is the study and application of knowledge about how people act within organisations. It is a human tool for human benefit."
4. **John Newstrom:** "OB is the study and application of knowledge about how people — as individuals and as groups — act within organisations."
5. **Griffin & Moorhead:** "OB is the study of human behaviour in organisational settings, the interface between human behaviour and the organisation, and the organisation itself."

→ Exam tip: write Robbins + Luthans + Davis definition and underline the key words (individual, group, structure, prediction, control).

3. Nature of OB

- **A field of study, not a discipline** — it is an inter-disciplinary body of knowledge, not a single pure subject.
- **Inter-disciplinary approach** — psychology (individual), sociology (group), anthropology (culture), political science (power & conflict), economics (incentives).
- **Applied science** — knowledge is used to solve real problems like absenteeism, turnover, low morale.
- **Normative and value-centred** — it suggests how people ought to be treated so that both the organisation and employees gain.
- **Humanistic and optimistic** — believes people have potential, growth needs and dignity.
- **Goal-oriented** — aims at organisational effectiveness and job satisfaction.
- **Total system approach** — person, group, organisation and environment are all inter-related.
- **Contingency (situational) approach** — "no one best way"; the right action depends on the situation.
- **Both an art and a science** — science because it uses systematic study; art because applying it needs skill and judgement.
- **Three levels of analysis:** individual → group → organisation.



4. Scope of OB

OB covers the following areas:

Area	What it studies
Individual behaviour	personality, perception, attitudes, learning, motivation, values, abilities
Group behaviour	group dynamics, teams, norms, cohesiveness, communication, leadership
Inter-group behaviour	conflict, cooperation, competition between departments
Organisational system	structure, design, culture, climate, change and development
Leadership & power	styles, authority, politics, empowerment
Work environment	stress, quality of work life, job design, working conditions
Human resource practices	selection, training, appraisal, rewards, career growth
External environment	impact of society, technology, globalisation, law on behaviour

5. Functions (Goals) of OB

The functions of OB are the **four goals** :

1. **Describe** — how people behave under different conditions.
2. **Understand** — why people behave the way they do.
3. **Predict** — future behaviour, such as who will leave, who will perform.
4. **Control / Direct** — influence behaviour to achieve better results.

- Other managerial functions supported by OB: **planning, organising, staffing, directing (leading), controlling** .
- OB helps in: improving employee–employer relations, motivating people, building teams, reducing conflict, managing change and increasing productivity.

Importance of OB (short points)

Better human relations | Higher productivity | Job satisfaction | Lower absenteeism and turnover | Effective leadership | Easier handling of change | Better use of human resources | Ethical and healthy culture.

6. Contributing Disciplines to OB

Discipline	Level	Contribution
Psychology	Individual	learning, motivation, personality, perception, attitude, stress
Sociology	Group	group dynamics, roles, communication, power, conflict, culture
Social psychology	Group/individual	change, attitude change, group decision-making
Anthropology	Organisation	values, culture, comparative analysis across nations
Political science	Group/organisation	conflict, power, intra-organisational politics
Economics	Organisation	incentives, productivity, labour issues

7. Challenges and Opportunities for OB

- Globalisation and cultural diversity — managing a diverse workforce.
- Improving quality and productivity (TQM, re-engineering).
- Improving people skills; empowering employees.
- Coping with "temporariness" (gig work, change, remote work).
- Stimulating innovation and change.

- Declining loyalty, work–life balance issues.
- Improving ethical behaviour in a gray area of right and wrong.
- Technology, AI and automation changing jobs.

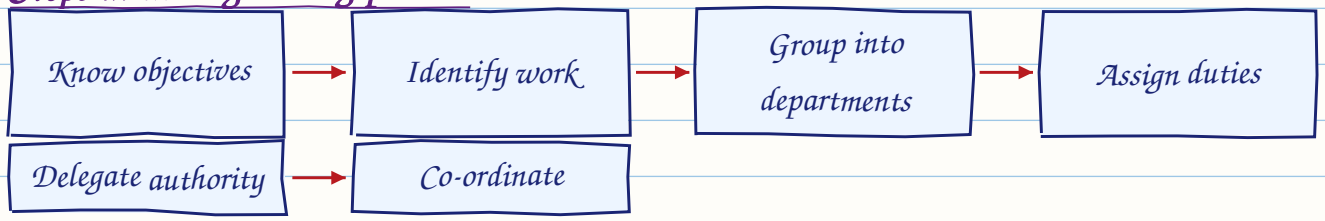
8. Organizing Process

Organizing is the managerial function of arranging activities, resources and people into a structure so the plan can be executed. It is the second function after planning.

Definition

"Organizing is the process of identifying and grouping the work to be performed, defining and delegating responsibility and authority, and establishing relationships for the purpose of enabling people to work most effectively together in accomplishing objectives." — Louis Allen

Steps in the organizing process



1. **Determine the objectives and plans** — organisation cannot be built without knowing what is to be achieved.
2. **Identify and list the activities** — all the work needed is listed (production, sales, finance, HR).
3. **Classify / group the activities** — similar and related jobs are put together (departmentation: by function, product, territory, customer, process).
4. **Assign duties to individuals** — right person for the right job; clear job description.
5. **Delegate authority** — give authority equal to the responsibility.
6. **Establish reporting relationships** — who reports to whom; chain of command, span of control.
7. **Co-ordinate** — vertical and horizontal co-ordination to avoid conflict and duplication.
8. **Provide resources and feedback** — men, money, material, machines and review.

Principles of organising (key)

Unity of objective | Specialisation | Authority–responsibility parity | Unity of command | Scalar chain | Span of control | Delegation | Balance | Flexibility | Continuity | Co-ordination | Efficiency.

9. Elements / Building Blocks of Organising

Element	Meaning
Work specialisation	dividing a job into small tasks so workers become experts
Departmentation	grouping jobs into departments

Element	Meaning
Chain of command	unbroken line of authority from top to bottom
Span of control	number of subordinates one manager can supervise effectively
Centralisation	decision power kept at top
Decentralisation	decision power spread to lower levels
Formalisation	extent to which jobs are standardised by rules
Authority	right to give orders and expect compliance
Responsibility	obligation to perform the assigned duty
Accountability	answerability for the results

→ Remember: Authority flows downward, responsibility flows upward, accountability cannot be delegated.

Types of organisation structure

- **Line organisation** — simple, direct authority from top to bottom; quick decisions; suitable for small firms.
- **Line and staff** — line managers get advice from staff specialists (HR, legal, R&D).
- **Functional** — specialists have authority over their function; violates unity of command.
- **Matrix** — dual reporting (project + function); flexible but can create confusion.
- **Committee / team structure** — decisions by groups.
- **Divisional and network structures** — large and global firms.

10. Making Organizing Effective

How can the organising process be made effective?

- **Clear objectives:** everyone should know the purpose of the organisation and each job.
- **Right structure:** keep the structure simple, flexible and suited to strategy, size, technology and environment.
- **Clear job descriptions:** avoid overlapping, gaps and role confusion.
- **Parity of authority and responsibility:** no responsibility without authority.
- **Proper delegation and empowerment:** trust and train subordinates.
- **Optimum span of control:** neither too wide nor too narrow (usually 6–8 at top, more at lower levels for routine work).
- **Unity of command:** one person gets orders from one boss only.
- **Effective co-ordination and communication:** open two-way channels, meetings, information systems.
- **Right people:** proper selection, training, development and motivating rewards.
- **Balanced centralisation and decentralisation.**

- **Informal organisation recognised:** use informal groups positively.
- **Regular review and flexibility:** restructure when the environment or strategy changes.
- **Good organisational culture and leadership support.**

Result of effective organising

Efficient use of resources + Clear roles + Fast decisions + Better morale + Growth and adaptability + Achievement of goals.

11. Understanding Individual Behaviour

Individual behaviour is the way a person acts or reacts at work. It is the **foundation of OB** because organisations are made of individuals.

Basic model — Stimulus–Organism–Response

Stimulus (situation) → Individual (organism) → Response (behaviour)

- Behaviour is **caused**, **goal-directed** and **motivated**.
- The same stimulus may produce different behaviour in different people because of **individual differences**.

Formula (Kurt Lewin)

$B = f(P, E)$ — Behaviour is a function of Person and Environment.

Factors influencing individual behaviour

Personal factors

age, gender, education, intelligence, abilities, aptitude, interests, skills

Psychological

personality, perception, attitude, values, motivation, learning

Organisational

job design, rewards, culture, leadership, work group, policies

Environmental

family, society, culture, economy, technology, legal factors

Individual differences (why people differ)

- Physical and biological characteristics.
- Intelligence and mental ability (IQ, EQ).
- Personality and temperament.
- Values, beliefs, attitudes and needs.
- Cultural and family background.
- Aptitude, skill and experience.

→ A manager must recognise individual differences in selection, training, job design, motivation and leadership.

12. Attitude

Meaning: An attitude is a learned, relatively stable tendency to respond in a favourable or unfavourable manner towards people, objects, events or ideas.

Definition

"Attitudes are evaluative statements — either favourable or unfavourable — concerning objects, people or events. They reflect how one feels about something." — Robbins

Characteristics of attitudes

- Learned (not inborn) from family, friends, society, experience.
- Relatively permanent but can change.
- Evaluative — good/bad, like/dislike.
- Directed towards an object (person, job, company).
- Have intensity and direction (positive, negative, neutral).
- Influence behaviour but are not behaviour itself.

Components of attitude (ABC / tri-component model)

Component	Meaning	Example
Cognitive (belief)	opinion, knowledge, thought	"My job is secure and well paid."
Affective (feeling)	emotional part	"I love working here."
Behavioural (conative)	intention to act	"I will work hard / stay long."

Functions of attitudes (Katz)

- **Adjustment** — helps get rewards and avoid punishment.
- **Ego-defensive** — protects self-image.
- **Value-expressive** — express core values.
- **Knowledge** — gives structure and meaning to the world.

Job-related attitudes

- **Job satisfaction** — positive feeling about the job.
- **Job involvement** — identification with the job.
- **Organisational commitment** — loyalty: affective, continuance, normative.

Formation of attitudes

Sources: family, peer group, personal experience, education, media, culture, organisational climate and role models.

Changing attitudes

1. Providing new information / persuasion.
2. Using fear or reward.
3. Group influence and participation.
4. Training and counselling.
5. Cognitive dissonance reduction (Festinger) — people try to reduce inconsistency between attitudes and behaviour.
6. Change in the work environment.

Cognitive dissonance

Any incompatibility between two or more attitudes, or between behaviour and attitudes, creates discomfort; people change one of them to restore balance. Example — a smoker who knows smoking is harmful may say "it relaxes me."

Importance in organisation

Satisfied employees → low absenteeism, low turnover, better customer service, higher productivity. Managers should measure attitudes by **attitude surveys**, interviews, suggestion boxes.

13. Perception

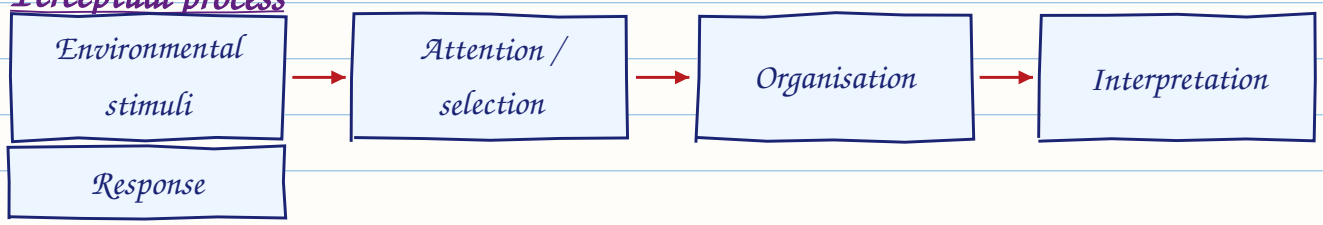
Meaning: Perception is the process by which individuals select, organise and interpret sensory information to give meaning to their environment.

Definition

"Perception is a process by which individuals organise and interpret their sensory impressions in order to give meaning to their environment." — Robbins

- People act on **perceived reality**, not on actual reality.
- Two persons may see the same thing differently (e.g., a manager's strictness seen as "discipline" or "harassment").

Perceptual process



1. **Receiving** stimuli through the five senses.
2. **Selection** — we cannot notice everything; we filter.
3. **Organisation** — grouping into patterns: figure–ground, grouping (similarity, proximity), closure.
4. **Interpretation** — giving meaning based on past experience.

5. **Response** — attitude, feelings or action.

Factors influencing perception

The Perceiver	The Target
attitudes, motives, interests, experience, expectations, personality	novelty, motion, sound, size, background, proximity, similarity
The Situation	**Stimulus**
time, work setting, social setting, organisational context	intensity, contrast, repetition, size, movement

Perceptual distortions / errors (important!)

- **Selective perception** — notice only what fits our interests.
- **Halo effect** — one good trait colours the entire judgement (a smart dress = good worker).
- **Horn effect** — one bad trait spoils the whole impression.
- **Stereotyping** — judging by group membership (age, gender, caste, region).
- **Projection** — attributing own faults or feelings to others.
- **Contrast effect** — evaluating a person by comparison with others recently met.
- **Primacy and recency effect** — first or last impression dominates.
- **Self-fulfilling prophecy (Pygmalion effect)** — expectation influences outcome.
- **Perceptual defence** — ignoring disturbing information.
- **Attribution errors** — see below.

Attribution theory (Kelley)

Explains how we decide whether behaviour is **internally** (personal) or **externally** (situational) caused. Based on three cues:

- **Distinctiveness** — does the person act this way in other tasks?
- **Consensus** — do others behave the same way?
- **Consistency** — does the person behave this way regularly over time?

→ Fundamental attribution error: we blame the person (internal) and ignore situation when judging others. Self-serving bias: success → my ability, failure → bad luck.

Importance of perception in organisations

- Hiring (interviews), performance appraisal, employee effort evaluation, loyalty, expectations, ethical judgement.

Managing perception

Be aware of own biases, get facts, use multiple sources, communicate clearly, training in diversity, empathy, feedback.

14. Learning

Meaning: Learning is any relatively permanent change in behaviour that occurs as a result of experience or practice.

Definition

"Learning is any relatively permanent change in behaviour that occurs as a result of experience." — Robbins. Not due to maturation, drugs or fatigue.

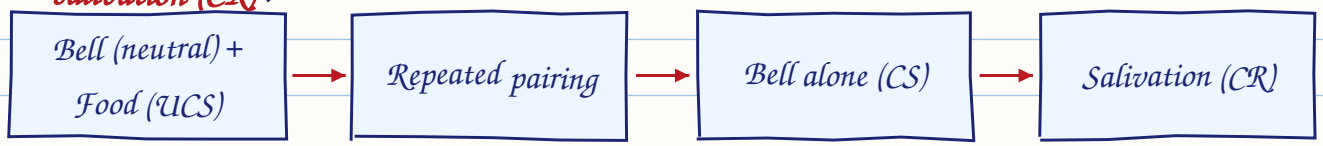
Features

- Involves **change** in behaviour (good or bad).
- Change must be **relatively permanent** .
- Based on **experience, practice, training** .
- Continuous lifelong process.
- Reflected in behaviour (shown through performance).

Theories of learning

(a) Classical Conditioning — Ivan Pavlov

- A neutral stimulus paired with a natural (unconditioned) stimulus produces a response.
- Pavlov's dog: **Food (UCS) → salivation (UCR)** ; bell + food repeated → **bell (CS) → salivation (CR)** .



- Example at work: employees feel anxious when the boss's name appears on the phone.
- Learning here is **involuntary, reflex-like** .

(b) Operant Conditioning — B. F. Skinner

- Behaviour is a function of its **consequences** . Voluntary behaviour that is rewarded is repeated; punished is not.

Technique	Meaning	Example
Positive reinforcement	giving a pleasant result after desired behaviour	bonus for good sales
Negative reinforcement	removing an unpleasant thing after desired behaviour	no supervision once target met
Punishment	applying an unpleasant result after undesired behaviour	warning for late coming
Extinction	withholding reinforcement so behaviour fades	ignoring attention-seeking

- **Schedules of reinforcement:** continuous; partial — fixed interval, variable interval, fixed ratio,

variable ratio (strongest).

→ Positive reinforcement is the most effective; punishment only tells what not to do.

(c) Cognitive Learning

- Learning through **insight, thinking, understanding** (Tolman, Kohler). People form mental maps, expectations and solve problems.

(d) Social (Observational) Learning — Albert Bandura

- People learn by **observing and imitating models** . Four processes:

Attention → Retention → Motor reproduction → Reinforcement

- Example: new employee copies the skilled senior; role models and mentors.

Learning cycle (Kolb)

Concrete experience → Reflective observation → Abstract conceptualisation → Active experimentation.

Organisational applications of learning

- Training and development, on-the-job training, coaching, mentoring.
- Behaviour modification (**OB Mod**): identify behaviour → measure → analyse → intervene → evaluate.
- Reward systems, discipline, performance feedback, skill building, knowledge management and learning organisation.

15. Personality

Meaning: Personality is the sum total of ways in which an individual reacts to and interacts with others. It is the unique, stable pattern of thoughts, feelings and behaviour of a person. The word comes from Latin **persona** (mask).

Definition

"Personality is the dynamic organisation within the individual of those psychophysical systems that determine his unique adjustments to his environment." — Gordon Allport

Nature / characteristics

- Unique to each person; relatively stable and consistent.
- Organised whole (not separate traits); dynamic and can develop.
- Includes physical, mental, emotional and social aspects.

Determinants of personality

Heredity

height, looks, temperament, genes, energy level

Environment

culture, family, social class, school, peers, norms

Situation	Biological
specific circumstances affect expression of traits	brain, physical features, endocrine glands

Theories of personality

- **Trait theory (Allport, Cattell)** — personality is made of stable traits (e.g., shy, honest, aggressive). Cattell gave 16 source traits (16PF).
- **Type theory** — people are classified into types:
  - Sheldon's body types: endomorph (relaxed), mesomorph (active), ectomorph (introvert).
  - **Jung:** introvert vs extrovert.
  - **Friedman & Rosenman:** Type A (impatient, competitive, time-conscious) vs Type B (relaxed, easy-going).
- **Psychoanalytic theory (Freud)** — personality has three parts: **Id** (instinct, pleasure), **Ego** (reality), **Superego** (conscience/morality).
- **Humanistic (Rogers, Maslow)** — self-concept and self-actualisation.
- **Social learning theory** — personality learned from environment and models.

Big Five Model (OCEAN)

Trait	High scorer is
Openness	imaginative, curious, creative
Conscientiousness	organised, dependable, hard-working
Extraversion	sociable, assertive, talkative
Agreeableness	cooperative, trusting, warm
Neuroticism (Emotional stability)	anxious, insecure, moody (low = calm)

→ Conscientiousness is the best predictor of job performance across jobs.

MBTI (Myers–Briggs Type Indicator)

Four pairs of preferences: **E/I** (extrovert/introvert), **S/N** (sensing/intuition), **T/F** (thinking/feeling), **J/P** (judging/perceiving) → 16 personality types (e.g., INTJ, ESFP).

Other important personality traits at work

- **Locus of control** (Rotter): **internals** believe they control events; **externals** believe luck/fate does.
- **Machiavellianism:** manipulative, pragmatic, believes ends justify means.
- **Self-esteem:** degree of liking oneself; **self-efficacy** (Bandura): belief in one's ability to succeed.
- **Self-monitoring:** ability to adjust behaviour to situations.
- **Risk-taking propensity; Type A/B; authoritarianism; narcissism.**

Personality and job fit (Holland's theory)

Realistic, Investigative, Artistic, Social, Enterprising, Conventional — best performance when personality matches the job.

Importance for managers

Helps in selection, placement, team building, leadership choice, motivation, conflict handling and predicting behaviour.

16. Quick Revision — Unit I

Key points to remember

OB = individuals + groups + structure | 4 goals: describe, understand, predict, control | Organising: identify, group, assign, delegate, co-ordinate | Attitude: ABC components | Perception: select, organise, interpret; halo, stereotyping, projection | Learning: classical, operant, cognitive, social | Personality: heredity + environment + situation; Big Five OCEAN.

Possible exam questions

1. Define OB. Explain nature and scope of OB.
2. Explain the organising process. How can organising be made effective?
3. What is attitude? Explain components and how attitudes are formed and changed.
4. Explain perception and perceptual errors.
5. Explain theories of learning with examples.
6. Discuss determinants and theories of personality.

UNIT - II

Motivation and Leading

1. Meaning of Motivation

- The word comes from the Latin **movere** = "to move".
- **Motivation** is the internal drive or force that stimulates a person to act in order to achieve a goal or satisfy a need.
- It is the **willingness to exert high levels of effort** towards organisational goals, conditioned by the effort's ability to satisfy some individual need (Robbins).

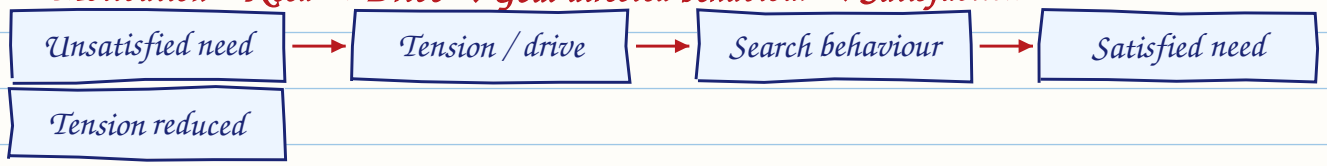
Definitions

Robbins: "Motivation is the willingness to exert high levels of effort toward organisational goals, conditioned by the effort's ability to satisfy some individual need."

Dubin: "Motivation is the complex of forces starting and keeping a person at work in an organisation."

Koontz: "Motivation is a general term applying to the entire class of drives, desires, needs, wishes and similar forces."

- **Motivation = Need → Drive → Goal-directed behaviour → Satisfaction.**



2. Nature / Features of Motivation

- It is an **internal psychological** force; cannot be seen directly, only inferred from behaviour.
- **Goal-directed** — always aimed at satisfying a need.
- **Continuous process** — a satisfied need gives way to a new need.
- **Complex** — people have different, changing needs.
- Can be **positive** (rewards, praise) or **negative** (fear, punishment).
- Motivation ≠ satisfaction. Motivation is the drive; satisfaction is the contentment after achieving.
- Motivation ≠ performance. **Performance = Ability × Motivation × Opportunity.**

3. Types and Importance of Motivation

- **Intrinsic motivation** — from within; interest, achievement, growth, enjoyment of work.
- **Extrinsic motivation** — from outside; pay, bonus, promotion, praise, job security.
- **Financial vs non-financial** incentives.

Importance (why motivation matters)

Higher productivity | Better use of resources | Lower absenteeism and turnover | Job satisfaction and morale | Smooth industrial relations | Acceptance of change | Achievement of goals | Positive organisational image.

4. Classification of Theories of Motivation

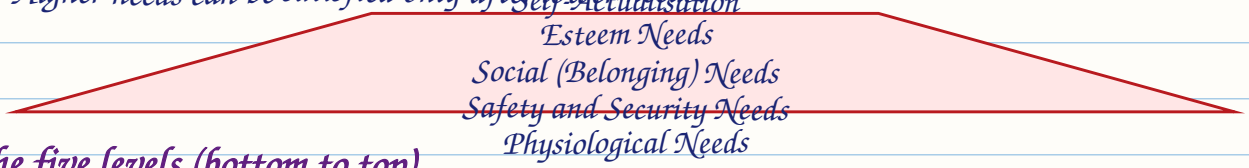
Category	Theories
Content theories (WHAT motivates — needs)	Maslow's Need Hierarchy, Herzberg's Two Factor, McClelland's Needs, Alderfer's ERG
Process theories (HOW motivation happens)	Vroom's Expectancy, Adams' Equity, Porter–Lawler, Locke's Goal Setting
Theories of human nature (managerial assumptions)	McGregor's Theory X and Theory Y
Reinforcement theory	Skinner (consequence based)

5. Maslow's Hierarchy of Needs Theory

- Proposed by **Abraham H. Maslow** in 1943 (paper "A Theory of Human Motivation").
- **Core idea:** people have five levels of needs arranged in a hierarchy of importance; a lower need must be reasonably satisfied before the next higher need becomes a motivator.

Assumptions

- Man is a wanting animal — needs are never fully satisfied.
- A **satisfied need does not motivate**; only an unsatisfied need does.
- Needs arise in order of **prepotency** (lower first).
- Higher needs can be satisfied only after lower needs.



The five levels (bottom to top)

Need level	Meaning	Organisational examples
1. Physiological	food, water, air, shelter, sleep, clothing	basic salary, rest breaks, canteen, ventilation, heating

Need level	Meaning	Organisational examples
2. Safety / Security	protection from danger, threat, economic insecurity	job security, pension, insurance, safe working conditions, PF
3. Social / Belonging	love, affection, friendship, acceptance	team work, friendly colleagues, social events, good supervision
4. Esteem	self-respect, status, recognition, power, achievement	promotion, titles, awards, praise, responsibility
5. Self-actualisation	becoming what one is capable of; growth, creativity	challenging work, creative freedom, development opportunities

- Levels 1–2 = **lower-order (basic) needs** (externally satisfied).
- Levels 3–5 = **higher-order needs** (internally satisfied).
- Maslow said **self-actualisation** is "what a man can be, he must be."

Criticisms / limitations

- Needs do not always follow the strict order (an artist may starve for art).
- Lacks empirical support; hard to measure the needs.
- Same need may lead to different behaviours; different needs may lead to same behaviour.
- Ignores individual and cultural differences.
- Overlap — more than one need can operate at a time.

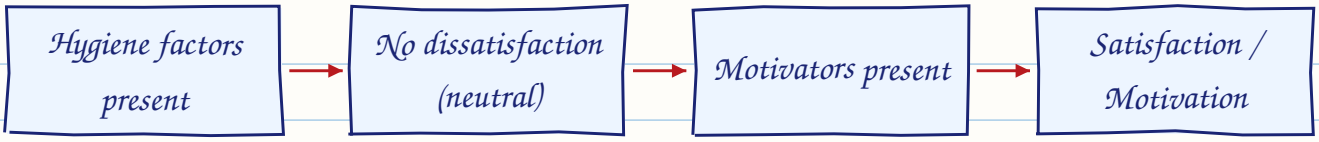
→ Managerial implication: identify the level at which employees are, and offer matching rewards. Remember — a satisfied need is not a motivator.

6. Alderfer's ERG Theory (modification of Maslow)

- Three groups of needs: **E** xistence, **R** elatedness, **G** rowth.
- More than one need at the same time; **frustration–regression** — when a higher need is frustrated, a person returns to a lower need.
- Not rigidly stepped.

7. Herzberg's Two Factor Theory (Motivation–Hygiene Theory)

- Proposed by **Frederick Herzberg** (1959), based on interviews of **200 accountants and engineers** in Pittsburgh asking when they felt exceptionally good or bad about their jobs.
- **Finding:** the factors causing job satisfaction are **different** from the factors causing dissatisfaction. They are two separate continua.



(a) Hygiene Factors (Maintenance factors / Dissatisfiers)

- **Extrinsic** — related to the job context or environment.
- If **absent** → dissatisfaction; if **present** → only no dissatisfaction (they do not motivate).
- Examples: company policy and administration, supervision, salary, interpersonal relations, working conditions, job security, status, personal life.

(b) Motivators (Satisfiers)

- **Intrinsic** — related to job content.
- If present → high satisfaction and motivation; if absent → no satisfaction (not dissatisfaction).
- Examples: achievement, recognition, the work itself, responsibility, advancement (promotion), growth.

Basis	Hygiene factors	Motivators
Nature	extrinsic (context)	intrinsic (content)
Effect when present	prevents dissatisfaction	creates satisfaction
Effect when absent	dissatisfaction	no satisfaction
Examples	pay, policy, supervision, conditions	achievement, recognition, growth

Relationship with Maslow

- Hygiene factors ≈ **physiological, safety and social** needs.
- Motivators ≈ **esteem and self-actualisation** needs.

Job enrichment

- Herzberg recommended **job enrichment** = vertical loading of the job: more responsibility, autonomy, feedback, challenge and growth.

Criticisms

- Based on a limited sample (accountants and engineers); method bias — people credit themselves for good and blame the environment for bad.
- Ignores situational variables; pay can be a motivator for many people.
- Satisfaction is not the same as productivity; no overall measure of satisfaction.

→ Managerial implication: first ensure good hygiene (fair pay, safe place), then use motivators (recognition, challenging work) to truly motivate.

8. Vroom's Expectancy Theory

- Proposed by **Victor H. Vroom** (1964) in "Work and Motivation". It is a **process theory**.
- **Idea:** People are motivated to act in a way that they believe will lead to a desired outcome. The strength of the tendency to act depends on the expectation that the act will be followed by a given outcome and on its attractiveness.

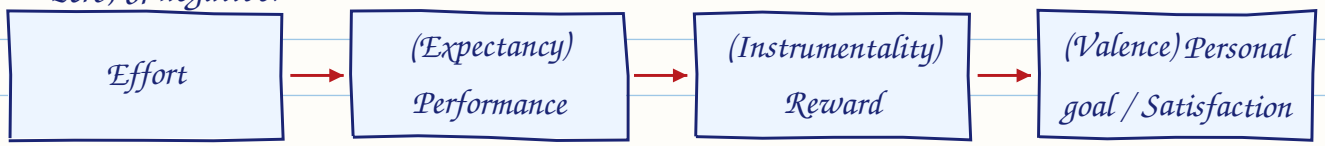
Formula

Motivation (Force) = Valence × Expectancy × (Instrumentality)

$M = V \times E$ (Vroom's original); modern form: **Effort → Performance → Reward**

Three key variables

- **Expectancy (E) — Effort → Performance link:** "If I work hard, will I be able to perform well?" Probability 0 to 1.
- **Instrumentality (I) — Performance → Reward link:** "If I perform well, will I get the reward?" Probability 0 to 1.
- **Valence (V) — value of the reward:** "How much do I value the outcome?" Can be positive, zero, or negative.



- If any one factor is **zero**, the motivation is **zero** (multiplicative).

Example

A salesman works hard (high expectancy), if he knows a target means a bonus (high instrumentality), and he values the bonus highly (high valence) → highly motivated.

Managerial implications

- Improve expectancy: train staff, give resources, set realistic targets.
- Improve instrumentality: clearly link pay and promotion to performance; transparent rules.
- Improve valence: find out what employees value; offer individual rewards.

Criticisms

- Complex and difficult to measure; assumes people are rational calculators.
- Ignores emotions; limited practical use but useful conceptually.

9. Porter–Lawler Model (extension of Vroom)

- **Satisfaction depends on performance**, not the reverse. Performance → intrinsic and extrinsic rewards → perceived equity of rewards → satisfaction.
- Effort is influenced by value of reward and perceived effort–reward probability; role perception and abilities affect performance.

10. McClelland's Theory of Needs (Achievement Motivation Theory)

- Proposed by **David C. McClelland**. Also called the **three needs theory** or **learned needs theory** — needs are acquired through life experience and culture.
- Three major needs that motivate people:

Need	Meaning	Characteristics of high scorers
nAch — Need for Achievement	drive to excel, to achieve in relation to standards, to succeed	prefer moderately difficult goals; want personal responsibility; need quick feedback; calculated risks; good entrepreneurs
nAff — Need for Affiliation	desire for friendly, close interpersonal relationships	want to be liked; prefer cooperation to competition; avoid conflict; good in customer service / counselling
nPow — Need for Power	desire to make others behave as they would not otherwise; to influence and control	like to be in charge; competitive; seek status; two types: personal power (bad) and institutional/social power (good, effective managers)

- Measured through the **Thematic Apperception Test (TAT)** — respondents write stories about pictures.
- **Findings:** High achievers perform best in entrepreneurial roles but are not always good managers of large organisations; the best managers have **high nPow, moderate nAch and low nAff**.
- McClelland believed achievement motivation can be **trained** (e.g., programmes in India — Kakinada experiment).

Criticisms

- Based mainly on TAT, which is subjective; mostly studied among males; cultural bias.

→ Implication: match people with jobs — high nAch for sales/enterprise, nAff for teamwork/service, nPow for management posts.

11. McGregor's Theory X and Theory Y

- **Douglas McGregor**, book "The Human Side of Enterprise" (1960).
- Two sets of assumptions managers make about human nature and thus choose their style of managing.

Aspect	Theory X (traditional)	Theory Y (modern)
View of work	people inherently dislike work and avoid it	work is as natural as play or rest

Aspect	Theory X (traditional)	Theory Y (modern)
Direction	must be coerced, controlled, directed, threatened	self-direction and self-control if committed to goals
Responsibility	avoid responsibility, prefer to be directed	accept and even seek responsibility
Ambition	little ambition; want security above all	commitment depends on rewards; creativity is widely spread
Motivating needs	lower-order (physiological, safety)	higher-order (esteem, self-actualisation)
Leadership style	autocratic, authoritarian	democratic, participative
Control	close supervision	delegation, empowerment
Communication	downward	two-way, open

Managerial implications

- **Theory X:** strict rules, close monitoring, punishment and incentives; suitable in mass production or crisis, with unskilled workers.
- **Theory Y:** participation, job enrichment, decentralisation, goal setting and appraisal; suitable for professional and knowledge-based work.
- McGregor argued Theory Y assumptions are more valid and lead to better results. Linked to Maslow: X → lower needs, Y → higher needs.

Criticism

- Over-simplified two-way classification; no one style is perfect — depends on situation; Theory Y not always practical for all workers.

Theory Z (William Ouchi)

- Japanese-style management: long-term employment, consensus decision-making, collective responsibility, holistic concern for employees.

12. Adams' Equity Theory

- **J. Stacy Adams** (1963) — a process theory based on social comparison.
- **Idea:** People compare the ratio of their **inputs** (effort, education, experience, skill, time) to **outcomes** (pay, recognition, promotion, benefits) with the same ratio of others (referents). Perceived inequity creates tension, which motivates them to restore equity.

Equity comparison

My Outcomes / My Inputs = Others' Outcomes / Others' Inputs → **Equity**

Not equal → **Inequity** (under-rewarded or over-rewarded)

Situation	Ratio	Feeling
Equity	O/I (self) = O/I (other)	satisfaction, continue the same effort
Under-rewarded	O/I (self) < O/I (other)	anger, resentment
Over-rewarded	O/I (self) > O/I (other)	guilt, discomfort

Referents (comparison groups)

- **Self-inside** (own other job in same organisation), **self-outside** , **other-inside** (colleague), **other-outside** (friend, other company).

Ways people reduce inequity

1. Change inputs (work less hard, or more if over-paid).
2. Change outcomes (ask for raise, take unfair gains).
3. Distort perceptions of self or others.
4. Change the comparison person (referent).
5. Leave the field — quit the job or transfer.
6. Act on the others — make them reduce or increase input.

Types of justice linked to equity

- **Distributive justice** — fairness of the amount of reward.
- **Procedural justice** — fairness of the process used to decide rewards.
- **Interactional justice** — fairness in treatment of people.

Managerial implications

- Maintain fair and transparent pay; explain how rewards are decided; avoid secrecy; give feedback; treat everyone consistently; use job evaluation.

Criticism

- Focuses on pay mostly; individuals differ in sensitivity (equity-sensitives, benevolents, entitleds); referent choice is unclear.

13. Other Important Motivation Concepts (extra points)

- **Locke's Goal-Setting Theory:** specific and difficult goals, accepted by the employee, with feedback, lead to higher performance than vague "do your best".
- **Skinner's Reinforcement theory:** behaviour is shaped by its consequences.
- **Job design techniques:** job enlargement (horizontal), job enrichment (vertical), job rotation, flexi-time, job sharing.
- **Management by Objectives (MBO):** participative goal setting and review.

- **Non-financial motivators:** recognition, delegation, praise, training, participation, career growth, quality of work life.
- **Financial motivators:** wages, bonus, profit sharing, ESOP, commissions, allowances, pensions.

13A. Maslow vs Herzberg — Comparison

Basis	Maslow	Herzberg
Type	content theory — need hierarchy	content theory — two factors
Basis of theory	general human needs	job satisfaction of workers
Number of factors	5 levels of needs	2 sets: hygiene and motivators
Order	lower need first, then higher	hygiene first, then motivators
Satisfied need	does not motivate	hygiene factors do not motivate
Focus	all needs motivate if unsatisfied	only intrinsic factors really motivate
Application	wide, general	specific to the work place
Criticism	no research evidence	small sample, method bias

13B. Maslow vs Herzberg vs McGregor — Linking

Maslow	Herzberg	McGregor	Alderfer
Self-actualisation	Motivators (work itself, growth)	Theory Y	Growth
Esteem	Motivators (recognition, achievement)	Theory Y	Growth / Relatedness
Social	Hygiene (relations)	Theory X / Y	Relatedness
Safety	Hygiene (security, policy)	Theory X	Existence
Physiological	Hygiene (pay, conditions)	Theory X	Existence

13C. Content Theories vs Process Theories

Basis	Content theories	Process theories
Focus	WHAT motivates (needs, factors)	HOW motivation is triggered and sustained
Examples	Maslow, Herzberg, McClelland, ERG	Vroom, Adams, Porter–Lawler, Locke
Approach	identify need and satisfy it	understand thinking, expectations, comparison

Basis	Content theories	Process theories
View of person	driven by inner needs	rational decision-maker
Use	designing rewards that fit needs	designing systems of effort, reward, fairness

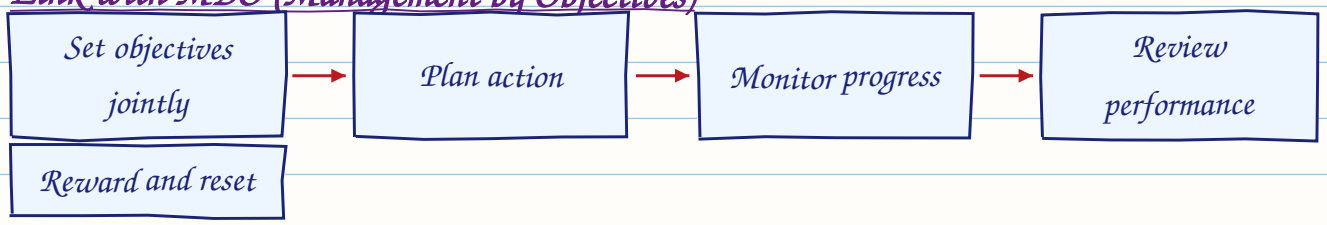
13D. Goal-Setting Theory (Edwin Locke)

- **Core idea:** Conscious goals and intentions are the main source of work motivation.
- Specific goals produce a higher level of output than the generalised goal "do your best".
- **Difficult goals**, when accepted, give higher performance than easy goals.
- **Feedback** guides behaviour and tells whether the effort is on track.

Factors that make goals work

- Goal commitment, self-efficacy (belief that I can do it), national culture, task complexity.

Link with MBO (Management by Objectives)



- Used widely in appraisals — Key Result Areas (KRA), OKRs and balanced scorecard.

13E. Reinforcement Theory (B. F. Skinner)

- Behaviour is a function of **consequences**; what gets rewarded gets repeated (**law of effect**).
- Managers shape behaviour using positive reinforcement, negative reinforcement, punishment and extinction.
- Ignores inner feelings and thoughts — criticised as mechanical.

→ Best practice: reward immediately, reward specific behaviour, reward intermittently (variable schedule) for stronger effect.

13F. Motivation Techniques / Practices in Organisations

Financial incentives

- Wages and salary, piece rate, bonus, commission, profit sharing, gain sharing.
- ESOPs (employee stock options), pay for performance, allowances, perquisites, retirement benefits.

Non-financial incentives

- **Recognition:** employee of the month, certificates, awards, praise, public appreciation.
- **Participation:** quality circles, suggestion schemes, works committees, joint management.
- **Job-related:** job enlargement, enrichment, rotation, empowerment, autonomy.

- **Career:** promotion, training, development plans, job security, mentoring.
- **Quality of work life:** flexible hours, work from home, safe environment, wellness programmes.

Job design approaches

Technique	Meaning
Job rotation	moving employees from job to job to reduce boredom
Job enlargement	adding more tasks of the same level (horizontal loading)
Job enrichment	adding responsibility, planning and control (vertical loading)
Job sharing	two persons share one full-time job
Flexi-time	flexible start and finish times
Telecommuting	working from home with technology

Hackman–Oldham Job Characteristics Model

- Five core job dimensions: **skill variety, task identity, task significance, autonomy, feedback**.
- They create three psychological states: meaningfulness, responsibility, knowledge of results → leading to high motivation and satisfaction.

13G. Motivation, Morale and Job Satisfaction

- **Morale** is the overall attitude or spirit of the group towards the organisation and its goals.
- **Job satisfaction** is a person's feeling about the job — **motivation is the cause, satisfaction is the result**.
- High morale signs: cooperation, low absenteeism, loyalty, discipline. Low morale signs: grievances, strikes, indiscipline, high turnover.

Factors that affect motivation at work

Individual
needs, values, abilities, expectations, personality

Job
nature of work, challenge, variety, autonomy, feedback

Organisation
pay system, policies, culture, supervision

Environment
economic conditions, labour market, social norms

Problems / difficulties in motivating

- Needs differ from person to person and keep changing.
- Employees may hide their real needs.
- Tangible and intangible rewards must be balanced.
- Resource limits of the organisation and cultural differences.

13H. Small Case Illustrations (use in answers)

Case 1 — Maslow

A software firm gives a high salary, but employees still leave. Reason: they are at the esteem and self-actualisation levels and need recognition and challenging projects. Pay (a lower-order need) is already satisfied, so it no longer motivates.

Case 2 — Herzberg

A factory improves canteen, rest-room and lighting (hygiene) — complaints drop but productivity does not rise. Productivity improves only after job enrichment and recognition are introduced.

Case 3 — Equity

Ravi and Suresh do the same job; Suresh gets a higher increment although both work equally. Ravi feels under-rewarded → reduces effort or demands a raise or looks for another job.

Case 4 — Expectancy

An employee does not try for a sales target because he believes the target is impossible (low expectancy), or that the bonus will not be paid fairly (low instrumentality), or that the bonus is a small amount (low valence).

14. Leading — Introduction

- **Leading (Directing)** is the managerial function of influencing, guiding, motivating and communicating with people so that they work willingly towards organisational objectives.
- Linked to motivation: **Leading = Motivation + Leadership + Communication + Supervision.**
- Elements of leading:

Supervision direct oversight of employees at work	**Motivation** inspiring people to give their best
Leadership guiding and influencing the group	**Communication** sharing information, ideas, feelings

Importance of leading

- Initiates action; integrates efforts; provides stability; helps in change; builds morale and discipline; creates co-ordination; maximises effectiveness.

15. Comparative Summary of Theories

Theory	Proposed by	Key concept
Need Hierarchy	Maslow	5 levels of needs; lower before higher
Two Factor	Herzberg	hygiene (no dissatisfaction) vs motivators (satisfaction)
Expectancy	Vroom	$M = V \times E \times I$; effort → performance → reward

Theory	Proposed by	Key concept
Need Theory	McClelland	achievement, affiliation, power
Theory X/Y	McGregor	negative vs positive assumptions about workers
Equity	Adams	input/outcome ratio compared with others
ERG	Alderfer	existence, relatedness, growth; frustration–regression
Goal Setting	Locke	specific, difficult goals with feedback

16. Quick Revision — Unit II

Must remember

Motivation = internal drive | Maslow: 5 needs | Herzberg: hygiene vs motivator | Vroom: Expectancy, Instrumentality, Valence | McClelland: nAch, nAff, nPow | McGregor: X vs Y | Adams: equity = outcome/input ratio comparison.

Possible exam questions

1. Define motivation. Explain Maslow's hierarchy of needs with a diagram.
2. Explain Herzberg's two-factor theory and its criticism.
3. Discuss Vroom's expectancy theory and its managerial implications.
4. Explain McClelland's theory of needs.
5. Distinguish between Theory X and Theory Y.
6. Explain Adams' equity theory and how inequity is reduced.
7. Compare content theories and process theories of motivation.

UNIT - III

Organizational Culture, Climate, Leadership and Conflict

1. Introduction to Organizational Culture

- Every organisation has its own **personality** — the way things are done "around here". This is its **culture** .
- Culture influences how employees think, behave, dress, communicate, take decisions and treat customers.
- It acts as the **social glue** that holds the organisation together.
- Culture is learned by employees through stories, rituals, symbols, language, and the behaviour of leaders.

2. Meaning and Definitions

- **Meaning:** Organisational culture is a system of shared values, beliefs, assumptions and norms that guide the behaviour of the members of an organisation and distinguish it from other organisations.

Definitions

Robbins: "Organisational culture refers to a system of shared meaning held by members that distinguishes the organisation from other organisations."

Edgar Schein: "A pattern of basic assumptions — invented, discovered or developed by a given group as it learns to cope with its problems of external adaptation and internal integration — that has worked well enough to be considered valid and is taught to new members as the correct way to perceive, think and feel."

Hofstede: "The collective programming of the mind that distinguishes the members of one group from another."

Pettigrew: "Culture is the system of publicly and collectively accepted meanings operating for a given group at a given time."

3. Nature / Characteristics of Organisational Culture

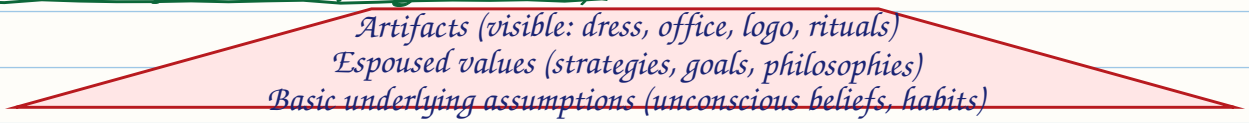
- **Shared** — held by most members, not by one person.
- **Learned** — acquired through socialisation, not inherited.
- **Passed on** from one generation of employees to another.
- **Symbolic** — expressed through symbols, slogans, logos, dress, language.
- **Relatively stable and enduring** , but changes slowly.

- **Holistic and inter-related** — affects all functions.
- **Distinctive** — differentiates one organisation from another (e.g., Tata vs Infosys).
- **Integrates** members — gives identity and sense of belonging.
- **Guides behaviour** — acts as an unwritten rule book.
- Can be **strong or weak** depending on the intensity of sharing.

4. Scope of Organisational Culture

Area	Influence of culture
Decision-making	style: centralised or participative, risk-taking or cautious
Leadership & management style	autocratic, democratic, supportive
Communication	open or restricted, formal or informal
HR practices	recruitment, training, rewards, promotion
Motivation and morale	values and recognition systems
Change and innovation	openness to new ideas
Customer service and quality	commitment to ethics, quality, service
Employee relations	trust, cooperation, teamwork, conflict handling
Organisational performance	productivity, retention, reputation

5. Levels of Culture (Edgar Schein)



- **Artifacts** — what you see and hear; the physical layout, dress code, stories, ceremonies.
- **Espoused values** — stated values and rules (mission statement).
- **Basic assumptions** — deep, taken-for-granted beliefs; hardest to change.

6. Dimensions / Characteristics of Culture (Robbins)

Ten characteristics that together capture the essence of the culture:

1. **Member identity** — identify with the organisation as a whole.
2. **Group emphasis** — work organised around teams not individuals.
3. **People focus** — management considers effect on people.
4. **Unit integration** — units operate in a coordinated way.
5. **Control** — rules, supervision used to control behaviour.
6. **Risk tolerance** — encouraged to be aggressive, innovative, take risks.
7. **Reward criteria** — pay by performance rather than seniority.

8. **Conflict tolerance** — open criticism encouraged.
9. **Means–ends orientation** — focus on outcomes rather than techniques.
10. **Open-systems focus** — monitors the external environment.

7. Types of Culture

Type (Handy / Deal-Kennedy)	Features
Power culture	control from the centre; fast decisions; found in small, family-owned firms
Role culture	rules, procedures, job descriptions; stable; bureaucracies, government offices
Task culture	team-based, project-oriented; expert power; consulting firms
Person culture	individuals are more important than the organisation; professionals, universities

Type (Cameron & Quinn)	Features
Clan culture	family-like, loyalty, mentoring, teamwork
Adhocracy culture	creative, entrepreneurial, risk-taking (start-ups)
Market culture	result-oriented, competitive, achievement focus
Hierarchy culture	formal, structured, efficiency and control

- Other classification: **strong vs weak culture** , **dominant culture vs sub-culture** , **ethical culture** , **innovative culture** .

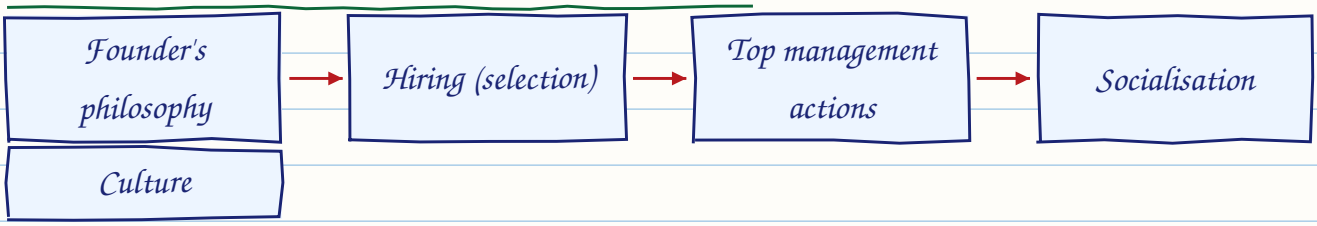
8. Functions of Organisational Culture

- Gives members an **identity** .
- Generates **commitment** to something larger than self-interest.
- Enhances **social system stability** — acts as social glue.
- Serves as a **sense-making and control** mechanism that guides behaviour.
- Reduces ambiguity and supports co-ordination.
- Creates a **competitive advantage** and a good brand image.

Dysfunctions (negative sides)

- Barrier to change; barrier to diversity; barrier to mergers and acquisitions (culture clash).

9. How Culture is Created and Sustained



- **Founders** set the vision and values.
- **Selection** — choose people who fit the culture.
- **Top management** — their behaviour sets norms.
- **Socialisation** — orientation, training and mentoring: pre-arrival → encounter → metamorphosis stage.
- **Tools to convey culture:** stories, rituals, material symbols, language.

10. Organizational Climate

Meaning: Organisational climate is the **perceived quality of the internal work environment** as experienced by employees — the "feel" or "atmosphere" of the organisation at a given time.

Definition

"Organisational climate is a set of measurable properties of the work environment, based on the collective perceptions of the people who live and work in the environment and demonstrated to influence their behaviour." — Litwin & Stringer

Characteristics

- Perception-based and a short-term; more changeable than culture.
- Affects motivation, morale and performance.
- Result of leadership, policies, structure and people practices.

Dimensions of climate (Litwin & Stringer)

Structure, responsibility, reward, risk, warmth, support, standards, conflict, identity.

Types of climate

- Open vs closed climate; authoritarian vs participative; supportive vs defensive; innovative; high-trust vs low-trust.

Factors affecting climate

- Leadership style, organisational structure, communication, reward system, employee participation, working conditions, job design, relationship among peers.

Culture vs Climate

Basis	Culture	Climate
Meaning	shared values and beliefs	perception of work environment
Nature	deep, stable, long-term	surface level, short-term

Basis	Culture	Climate
Basis	history, assumptions	current practices and attitudes
Change	slow, difficult	easier and faster
Measured by	observation, qualitative study	surveys, questionnaires
Origin	anthropology	psychology

11. Leadership — Meaning and Nature

- **Leadership** is the process of influencing and inspiring a group of people to willingly work towards the achievement of goals.

Definitions

Koontz & O'Donnell: "Leadership is the art or process of influencing people so that they will strive willingly and enthusiastically toward the achievement of group goals."

Robbins: "Leadership is the ability to influence a group toward the achievement of a vision or set of goals."

George R. Terry: "Leadership is the activity of influencing people to strive willingly for group objectives."

Nature

- Interpersonal influence; goal-oriented; involves followers; situational; a continuous process; shared power and responsibility.

Leader vs Manager

Basis	Leader	Manager
Source of power	personal influence, charisma	formal authority, position
Focus	vision, change, people	planning, control, tasks
Orientation	does the right thing	does things right
Approach	inspires and innovates	administers and maintains
Followers	followers follow willingly	subordinates obey rules
Risk	takes risks	avoids risk

Functions of a leader

- Setting vision and direction; motivating; building teams; communicating; resolving conflict; representing the group; guiding change; developing future leaders.

12. Traits Theory of Leadership

- Also called the **Great Man theory** : "Leaders are born, not made." Oldest approach (1930s–1940s).
- **Idea:** Effective leaders possess certain **personal traits** — physical, personality and ability characteristics — that distinguish them from non-leaders.

Commonly identified traits

Physical height, energy, appearance, health, stamina	**Intellectual** intelligence, knowledge, judgement, decisiveness, fluency
Personality self-confidence, honesty, integrity, emotional stability, adaptability	**Social** sociability, cooperation, tact, popularity, diplomacy
Work-related achievement drive, initiative, persistence, responsibility	**Drive** ambition, motivation, desire to lead

- **Stogdill and Ghiselli** identified traits like intelligence, supervisory ability, initiative, self-assurance and occupational level.
- Modern research (Kirkpatrick & Locke): **drive, desire to lead, honesty and integrity, self-confidence, cognitive ability and knowledge of business** .

Criticisms

- No universal list; traits are not equally important in every situation.
- Ignores followers, situation and the learning of skills.
- Hard to measure traits; cause and effect unclear.
- Leaders can be developed through training — so "born" notion is weak.

→ Traits theory is the basis for selection of leaders but must be combined with the situational approach.

Other approaches (brief)

- **Behavioural theories** — focus on what leaders do: Ohio State (initiating structure and consideration), Michigan (employee- and production-centred), Managerial Grid.
- **Contingency theories** — Fiedler, Hersey–Blanchard situational leadership, House's path–goal.
- **Lewin's styles:** autocratic, democratic, laissez-faire.

13. Managerial Grid (Blake and Mouton)

- Developed by **Robert Blake and Jane Mouton** (1964) — a behavioural leadership model.
- Two dimensions plotted on a 9 × 9 grid (81 positions):
- **Concern for people** (vertical axis) and **Concern for production / results** (horizontal axis). Scores from 1 (low) to 9 (high).

Style	Grid position	Features
Impoverished (Indifferent)	1,1	minimal effort for both people and production; avoids responsibility; "laissez-faire"
Authority-Compliance (Produce or perish)	9,1	high concern for production, low for people; task focus; autocratic
Country Club	1,9	high concern for people, low for production; friendly atmosphere; may reduce results
Middle of the Road (Organisation man)	5,5	balance, compromise; moderate output and morale
Team Management	9,9	high on both; commitment, trust, interdependence; **the ideal style**

- Additional styles: **Paternalistic** (9+9 — reward and punish), **Opportunistic** (uses any style that benefits self).

Features and evaluation

- Simple way to assess leadership style; used for **managerial training and development** (Grid OD).
- Criticism: ignores situational factors; "one best style" assumption; difficult to prove that 9,9 is always the best.

→ Draw a neat 9×9 grid diagram in the exam, mark the five corner points (1,1), (1,9), (9,1), (9,9), (5,5) with their names.

14. Transactional vs Transformational Leadership

Transactional Leadership (James MacGregor Burns, Bernard Bass)

- Leader motivates through **exchange** — rewards for performance and punishment for failure ("transaction").
- Focus on **short-term goals, rules, procedures and structure** .
- Dimensions: **contingent reward** , **management by exception** (active and passive).
- Works well in stable situations; ensures routine tasks get done.

Transformational Leadership

- Leader **inspires and transforms** followers to go beyond self-interest for the sake of the organisation.

- Focus on **vision, change, innovation and long-term growth** .
- The four I's (Bass):

Idealised influence a role model who is trusted and admired (charisma)	**Inspirational motivation** communicates a vision that excites followers
Intellectual stimulation encourages creativity, questioning old ways	**Individualised consideration** coaches, mentors, treats each follower as an individual

Basis	Transactional	Transformational
Nature	exchange relationship	inspirational relationship
Focus	maintaining status quo	changing the status quo
Motivation	external rewards / punishment	intrinsic, higher-order needs
Time orientation	short-term	long-term vision
Followers	comply for reward	committed, empowered
Style	management by exception, rules	charisma, vision, innovation
Best in	stable, structured settings	change, crisis, innovation
Example	supervisor with sales-target bonus	Ratan Tata, A.P.J. Abdul Kalam, Steve Jobs

- Transformational builds on transactional — **augmentation effect** : the best leaders use both.

15. Qualities of a Good Leader

Vision clear goals and long-term direction	**Integrity** honest, ethical, trustworthy
Communication clear, listens well, persuasive	**Decision-making** quick, rational, takes responsibility
Self-confidence belief in own ability, courage	**Emotional intelligence** self-awareness, empathy, social skills
Motivating ability inspires and rewards followers	**Adaptability** flexible, open to change and learning

- **Other qualities:** intelligence and knowledge; initiative and creativity; fairness and impartiality; discipline and willingness to delegate; team-building skills; sense of humour; physical and mental energy; accountability; technical competence; social skills; humility; commitment;

positive attitude.

- **Goleman's five EQ components:** self-awareness, self-regulation, motivation, empathy, social skills.

> **Remember**
> A good leader = Vision + Values + Communication + Courage + Care for people + Competence.

16. Conflict Management

Meaning of conflict: a disagreement or clash between individuals or groups due to incompatible goals, values, interests or perceptions.

> **Definition**
> "Conflict is a process that begins when one party perceives that another party has negatively affected, or is about to negatively affect, something that the first party cares about." — Robbins

Views of conflict

- **Traditional:** conflict is harmful and must be avoided.
- **Human relations:** conflict is natural and inevitable.
- **Interactionist:** conflict can be **useful** — a certain level keeps the group creative and alert.
- **Functional (constructive) conflict** improves performance; **dysfunctional (destructive) conflict** hinders it.

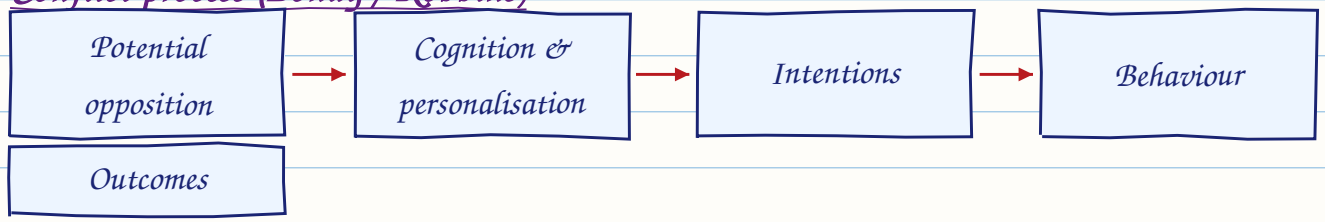
Types of conflict

- **Intra-personal** (within a person: role conflict), **inter-personal** , **intra-group** , **inter-group** , **inter-organisational** .
- By content: **task** conflict, **relationship** conflict, **process** conflict.

Causes

- Limited resources; differences in goals and values; interdependence; communication problems; role ambiguity; personality clash; unfair treatment; change; competition; status differences.

Conflict process (Pondy / Robbins)



Conflict handling styles (Thomas–Kilmann)

Style	Assertiveness / Cooperation	When to use
Competing (forcing)	high / low	emergencies; unpopular but vital decisions

Style	Assertiveness / Cooperation	When to use
Collaborating (problem-solving)	high / high	important issues; win–win; learning
Compromising	medium / medium	equal power; time pressure; temporary solution
Avoiding (withdrawal)	low / low	trivial issues; to cool down; need more information
Accommodating (smoothing)	low / high	maintain harmony; issue matters more to the other party

Conflict management techniques

- **Resolution:** problem solving, superordinate goals, expansion of resources, compromise, authoritative command, altering human variables (training), altering structure (job rotation, new coordination).
- **Stimulation (when too little):** bring in outsiders, restructure, encourage competition, appoint a devil's advocate.
- Use of **negotiation, mediation, arbitration, conciliation** .
- Building trust, open communication, clear roles, fair policies, team building.

16A. Leadership Styles

Lewin's three classical styles

Style	Features	Effect
Autocratic	leader takes all decisions; one-way communication; close control	quick decisions; low morale, dependence, resentment
Democratic (participative)	group takes part in decisions; two-way communication	high morale, creativity, commitment; slower decisions
Laissez-faire (free-rein)	leader gives total freedom; minimal guidance	good with skilled self-driven staff; otherwise confusion

Other styles

- **Paternalistic:** leader acts like a father — cares but controls.
- **Charismatic:** personal magnetism inspires followers.
- **Bureaucratic:** follows rules strictly.
- **Servant leadership:** puts followers' needs first.
- **Situational / contingency styles:** chosen as per the situation.

16B. Behavioural and Contingency Theories (short notes)

Ohio State studies

- Two dimensions: **Initiating structure** (task orientation, defining roles) and **Consideration** (concern for people, trust, respect).
- High-high leaders usually achieve high performance and satisfaction.

Michigan studies

- **Employee-oriented** leaders (focus on relationships) vs **production-oriented** leaders (focus on tasks). Employee-oriented were more effective.

Fiedler's Contingency Model

- Leader effectiveness depends on the match between **leader's style** and the **favourableness of the situation** .
- Style is measured by the **LPC (Least Preferred Co-worker)** scale: high LPC = relationship-oriented; low LPC = task-oriented.
- Situation depends on: leader–member relations, task structure, position power.
- Task-oriented leaders do best in very favourable and very unfavourable situations; relationship-oriented in moderately favourable ones.

Hersey–Blanchard Situational Leadership

- Style should match the **maturity (readiness) of followers** .

Follower readiness	Style	Behaviour
Low (unable, unwilling)	Telling (S1)	high task, low relationship
Moderate (unable, willing)	Selling (S2)	high task, high relationship
Moderate (able, unwilling)	Participating (S3)	low task, high relationship
High (able, willing)	Delegating (S4)	low task, low relationship

House's Path–Goal Theory

- The leader's job is to clear the **path** to the **goals** for subordinates, and increase rewards. Four styles: directive, supportive, participative, achievement-oriented.

16C. Power and Authority of the Leader (French & Raven)

- **Legitimate** power (position), **Reward** power, **Coercive** power, **Expert** power (knowledge), **Referent** power (admiration, charisma).
- Expert and referent are personal powers and bring greater commitment.

16D. Strengthening and Changing Organisational Culture (preview)

- Strong culture = core values intensely held and widely shared → high commitment and low turnover.

Ways to build a healthy culture

- Clear mission, vision and values; leaders as role models.
- Hire and promote for culture fit; reward the desired behaviours.
- Encourage open communication, teamwork and ethics.
- Orientation and continuous training; celebrate success and stories.

Examples of culture

- **Tata group:** trust, integrity, social responsibility.
- **Google:** innovation, freedom, creativity (adhocracy).
- **Infosys:** learning, transparency, client delight.
- **Government departments:** role/hierarchy culture.

Ethical culture

Code of conduct + ethical leadership + whistle-blower protection + fair rewards + training = ethical organisation.

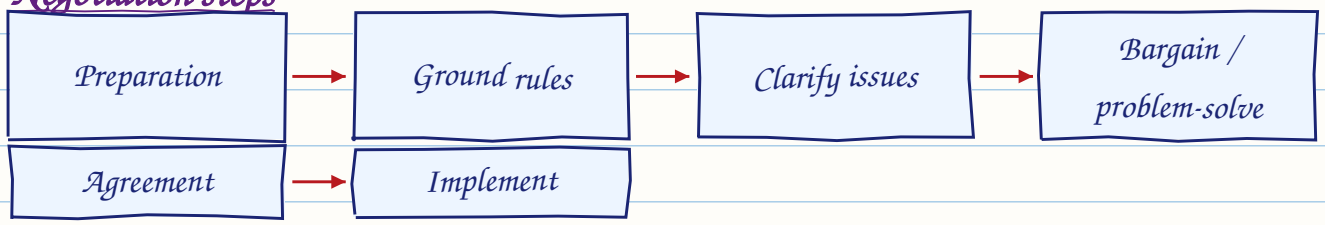
16E. Conflict — Positive and Negative Effects

Basis	Functional conflict	Dysfunctional conflict
Effect	improves decisions, creativity, interest	stress, hostility, wasted energy
Communication	open and honest	blocked, distorted
Focus	on the problem / task	on the person / personal attack
Result	change, innovation, learning	low morale, high turnover, loss of productivity

Conflict resolution outcomes

- **Win–Win** (collaboration), **Win–Lose** (competition), **Lose–Lose** (compromise or avoidance if poorly done).

Negotiation steps



- **Mediation:** neutral third party helps; **Arbitration:** neutral third party decides (binding); **Conciliation:** third party brings both sides together.

17. Evaluating a Leader

How do we judge whether a leader is effective? Evaluation is done through different criteria:

Criteria / Measures of leadership effectiveness

Criterion	Indicators
Goal achievement	targets met, profits, productivity, quality
Follower satisfaction	morale, job satisfaction, low absenteeism, low turnover
Follower development	skills, growth, successors prepared
Group cohesion and team spirit	cooperation, commitment, low conflict
Adaptability and change	success in managing change and innovation
Ethics and reputation	trust, integrity, social responsibility
Customer satisfaction	service quality and loyalty

Methods of evaluation

- **360-degree feedback** (self, boss, peers, subordinates, customers).
- Performance appraisal against objectives (MBO, balanced scorecard).
- Employee opinion surveys and organisational climate surveys.
- Leadership questionnaires: **LBDQ** (Leader Behaviour Description Questionnaire), **MLQ** (Multifactor Leadership Questionnaire), **LPC scale** (Fiedler).
- Observation, interviews, assessment centres, financial and non-financial results.
- Turnover and grievance records.

→ Evaluate a leader on both **results (what is achieved)** and **process (how it is achieved)** .

18. Quick Revision — Unit III

Key points

Culture = shared values (Schein: artifacts, values, assumptions) | Climate = perception of work atmosphere | Leadership = influencing for goals | Traits theory = leaders have special traits | Grid: 9,9 team style is best | Transformational = vision + inspiration | Conflict styles: compete, collaborate, compromise, avoid, accommodate | Evaluate leaders with 360° feedback.

Possible exam questions

1. Define organisational culture. Explain its nature and scope.
2. Distinguish between organisational culture and climate.
3. Explain trait theory of leadership with its limitations.
4. Explain Blake and Mouton's managerial grid.
5. Compare transactional and transformational leadership.
6. Discuss qualities of a good leader.

7. What is conflict? Explain the conflict management styles.
8. How is a leader evaluated?

UNIT - IV

Group Dynamics

1. Introduction to Group Dynamics

- Human beings are social. Most work in an organisation is done not by isolated individuals but by **groups and teams** .
- Understanding how groups form, function and influence their members is essential for managers.
- The term **"group dynamics"** was coined by **Kurt Lewin** (1940s) — "dynamics" means the forces operating within a group.

2. Meaning of Group and Group Dynamics

- **Group:** Two or more individuals, interacting and interdependent, who have come together to achieve particular objectives (Robbins).
- **Group dynamics:** The study of the **forces and processes** that operate within groups — how they are formed, how members interact, how they develop, take decisions and affect each other and the organisation.

Definitions

Robbins: "A group is defined as two or more individuals, interacting and interdependent, who have come together to achieve particular objectives."

Edgar Schein: "A group is any number of people who interact with one another, are psychologically aware of one another, and perceive themselves to be a group."

Cartwright & Zander: "Group dynamics is a field of inquiry dedicated to advancing knowledge about the nature of groups, the laws of their development, and their interrelations with individuals, other groups and larger institutions."

Keith Davis: "Group dynamics refers to the interaction of forces among members in a group."

3. Nature of Group Dynamics

- Concerned with **interaction and interdependence** among members.
- **Forces** within the group (norms, roles, leadership, cohesiveness) shape behaviour.
- Groups have a **common purpose** and shared identity.
- Dynamic — groups **change and develop** over time.
- Interdisciplinary — uses psychology, sociology, social psychology.
- Behaviour of the group is **not the sum of individuals** — "the whole is greater than the sum of

its parts".

- Influences **both** individual and organisational performance.

4. Scope of Group Dynamics

Area	What is studied
Group formation	why people join, stages of formation
Group structure	roles, norms, status, size, composition
Group process	communication, decision making, conflict, leadership
Group cohesiveness	attraction among members and team spirit
Group performance	productivity, satisfaction, effectiveness
Inter-group relations	competition, cooperation, conflict
Team building	creating effective work teams
Change	group resistance and group-based change

5. Why Do People Join Groups?

- **Security** — strength in numbers reduces insecurity.
- **Status** — belonging to a respected group gives prestige.
- **Self-esteem** — gives feelings of self-worth.
- **Affiliation** — satisfies social needs (friendship).
- **Power** — achieves what cannot be done alone.
- **Goal achievement** — pooling of talent, knowledge and resources.
- Proximity, common interests, economic reasons, and attractiveness of group goals.

6. Types of Groups

Formal groups

- Created by the organisation to achieve specific goals; defined by structure, roles and authority.
- **Command group** — a manager and subordinates reporting to him (e.g., sales manager and his team).
- **Task group / Task force** — formed to complete a specific job or project; disbanded after (e.g., a project team).
- **Functional group** — a permanent group in a function, e.g., finance dept.
- **Committees** — standing or ad hoc committees.

Informal groups

- Naturally formed by social relations and common interests, not by the organisation.
- **Interest group** — to achieve a specific objective of common concern (e.g., employees wanting a

change in leave policy).

- **Friendship group** — based on shared characteristics like age, hobbies, region, caste.
- **Reference group** — a group a person identifies with and uses to evaluate own behaviour.

Basis	Formal group	Informal group
Formation	deliberately by management	spontaneous by members
Purpose	organisational goals	social needs, interests
Structure	defined hierarchy, rules	no fixed structure, natural leaders
Authority	from position	from personal influence
Communication	official channels	grapevine
Life	permanent or project-linked	continues as long as interest lasts

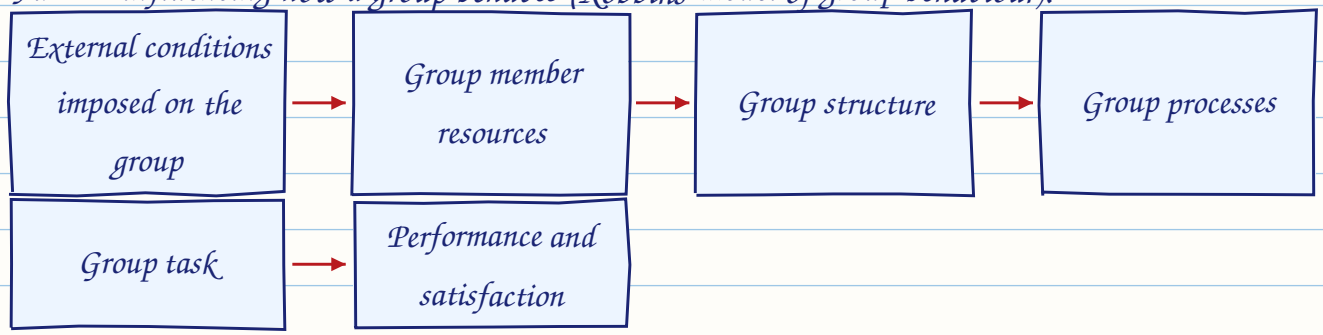
- **Other classifications:** primary and secondary groups; in-group and out-group; membership and reference groups; temporary and permanent.

Importance of informal groups

- Satisfy social needs; supplement formal communication; give support in work; but can spread rumours, resist change and restrict output.

7. Determinants of Group Behaviour

Factors influencing how a group behaves (Robbins' model of group behaviour):



(i) External conditions

- Organisation's strategy, authority structure, formal rules, resources, selection process, performance management system, culture, physical work setting.

(ii) Group member resources

- Knowledge, skills, abilities; personality traits (sociability, initiative, openness); age, gender, race, diversity; values.

(iii) Group structure

- Formal leadership, roles, norms, status, size, composition and cohesiveness.

(iv) Group processes

- Communication patterns, decision making, power dynamics, conflict, interactions.

(v) Group task

- Simple or complex; interdependence of members.

Other determinants

Group size | Composition (homogeneous / heterogeneous) | Leadership | Physical setting | Reward system | Goals | Past history | Individual motives.

8. Group Structure Variables

- **Roles** — set of expected behaviour patterns attached to a position. Role identity, role perception, role expectation, role conflict, role ambiguity.
- **Norms** — acceptable standards of behaviour shared by members.
- **Status** — social position or rank given to a group or member by others.
- **Size** — 5 to 7 members is the usually most effective; large groups → social loafing.
- **Composition** — mix of skills, personality and diversity.
- **Cohesiveness** — degree to which members are attracted to each other and the group.

Social loafing

- Tendency of individuals to put in less effort when working in a group than alone (the "free-rider" problem). Reduced by clear individual accountability.

9. Group Process

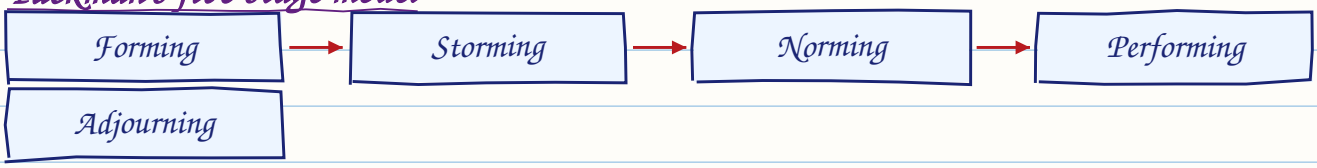
Meaning: The pattern of interactions among members as the group works — how they communicate, make decisions, lead, resolve conflict, and use power.

- **Communication:** formal channels (downward, upward, horizontal) and informal grapevine; networks — **chain, wheel, circle, all-channel (star)**.
- **Leadership:** task leader and social-emotional leader.
- **Decision-making:** consensus, majority, authority.
- **Conflict and power:** use of influence, politics, bargaining.
- **Interaction:** frequency, intensity, direction.
- **Interaction process analysis (Bales):** task contributions vs socio-emotional contributions.

Communication network	Speed	Best suited for
Chain	moderate	formal hierarchy, accuracy
Wheel	fast (for simple tasks)	simple tasks, strong leader
Circle	slow	high member satisfaction
All-channel (star)	fast and flexible	complex tasks, creativity, team satisfaction

10. Group Development (Stages)

Tuckman's five-stage model



Stage	Description
1. Forming	members get acquainted; uncertainty about purpose, structure, leadership; testing of acceptable behaviour; dependence on leader
2. Storming	intra-group conflict; resistance to leader and control; disagreements over who leads and what to do; ends with clear leadership hierarchy
3. Norming	close relationships; cohesiveness; sense of group identity; rules and norms are set; the group works as a unit
4. Performing	structure is fully functional and accepted; energy goes into the task; team is productive and mature
5. Adjourning	for temporary groups: wrapping up, performance is no longer a priority; mixed emotions (pride and sadness)

Punctuated-equilibrium model (Gersick)

- For temporary groups with deadlines: groups pass through inertia (phase 1), a **transition** at midpoint (halfway to the deadline), then another phase of inertia and a burst of activity to completion.

→ Not all groups go in a clean sequence; stages can overlap, and sometimes revert.

11. Group Norms

Meaning: Norms are acceptable standards of behaviour that are shared by the members of a group; they tell members what they ought and ought not to do under given circumstances.

- Unwritten "rules of the game"; they apply to **behaviour** not to thoughts.

Types of norms

- **Performance norms** — how hard to work, output level, tardiness.
- **Appearance norms** — dress code, loyalty displays.
- **Social arrangement norms** — whom to lunch with, friendships.
- **Resource allocation norms** — pay, assignments, equipment.

How norms develop

- Explicit statements by leaders or members, critical events in the group's history, primacy (first behaviour), carry-over from past situations.

Importance and functions

- Provide predictability and order; reduce confusion; protect the group; express central values; help the group survive.
- **Conformity** — pressure to adjust own behaviour (Asch's line experiment). **Deviants** are punished or rejected.
- **Hawthorne studies (Elton Mayo):** showed the power of informal group norms — in the bank wiring room, workers restricted output to a norm.
- Norms can be positive (help quality, teamwork) or negative (restricting output, absenteeism).

12. Group Cohesiveness

Meaning: The degree to which members are attracted to each other and are motivated to stay in the group — the "we-feeling" or team spirit.

Factors increasing cohesiveness

Time together more interaction builds attachment	**Initiation** tough entry makes members value group
Group size smaller groups are more cohesive	**Gender / similarity** similar values, backgrounds help
External threat common enemy brings unity	**Past success** success increases attraction

Factors decreasing cohesiveness

- Large size, disagreement on goals, intense internal competition, unpleasant experiences, domination by one or more members, failures.

Cohesiveness and productivity

	Low cohesiveness	High cohesiveness
High alignment with organisational goals	moderate productivity	**high productivity**
Low alignment with organisational goals	low productivity	**low productivity** (group resists management)

- The effect depends on the **performance norms** — cohesive groups follow their norm, positive or negative.

Consequences of high cohesiveness

- Greater satisfaction, lower absenteeism, stable membership; but may lead to **groupthink**, resistance to change, conformity.

How managers can increase cohesiveness

- Make the group smaller; encourage agreement on goals; increase time spent together; link rewards to group performance; stimulate competition with other groups; physical isolation.

13. Small Groups

- Groups of **2 to about 15 members** where each can interact face-to-face with the others.
- **Characteristics:** direct interaction, shared goals, interdependence, defined roles and norms, mutual awareness, and a sense of belonging.
- **Advantages:** better participation and commitment; easy communication; quick decisions; high cohesiveness; mutual support; opportunity to develop leadership; more creativity; flexible.
- **Limitations:** dominant members, conformity, groupthink, limited resources/skills, social loafing, dependence on few persons.
- **Ideal size:** 5–7 members (odd number avoids deadlocks).

Examples of small groups at work

- Quality circles, project teams, committees, task forces, self-managed work teams, work cells.

Quality Circles

A small group (6–12 volunteers) from the same work area who meet regularly to identify, analyse and solve work-related quality problems. Origin: Japan; used in India by BHEL, etc.

14. Group Decision Making

- Decisions in organisations are often taken by groups: committees, boards, teams, review panels.

Advantages of group decisions

- More complete information and knowledge; **more alternatives** generated; **increased acceptance** and commitment; greater legitimacy; diversity of views.

Disadvantages

- **Time-consuming** ; pressure to conform; **dominance** by a few; **ambiguous responsibility** ; chance of **groupthink** and **group shift** .

Groupthink (Irving Janis)

- A mode of thinking in which the desire for agreement and unity overrides the realistic appraisal of alternatives. Symptoms: illusion of invulnerability, rationalisation, belief in group's morality, stereotyping outsiders, self-censorship, pressure on dissenters, illusion of unanimity, "mind guards".
- Prevention: encourage criticism, appoint a devil's advocate, invite outside experts, hold second-chance meetings, leader remains impartial.

Group shift (risky shift)

- Group decisions tend to be more extreme (risky or cautious) than the average of the individual members' decisions.

Techniques of group decision making

Technique	Description
Brainstorming	free flow of ideas, no criticism during idea generation; quantity first
Nominal Group Technique	members write ideas independently, then discuss and rank by vote; limited verbal interaction
Delphi technique	experts answer questionnaires over several rounds anonymously; the results are fed back; consensus is built
Electronic meeting	members type anonymously on computers; results shown on a screen; fast and honest
Interacting group	usual face-to-face meeting
Devil's advocate / dialectical inquiry	assigned critic or two opposing sub-groups to test a decision

Criterion	Interacting	Brainstorming	Nominal	Delphi
Number of ideas	low	moderate	high	high
Social pressure	high	low	moderate	low
Time / cost	low cost	low cost	low cost	high cost
Task orientation	low	high	high	high
Interpersonal conflict	high	low	moderate	low

15. Team Building

- A **team** is a group whose members' individual efforts result in a performance that is **greater than the sum of individual inputs** — synergy; there is positive synergy, mutual accountability and complementary skills.

Group vs team

Basis	Work group	Work team
Goal	share information	collective performance
Synergy	neutral / negative	positive
Accountability	individual	individual and mutual
Skills	random and varied	complementary
Leadership	strong single leader	shared leadership

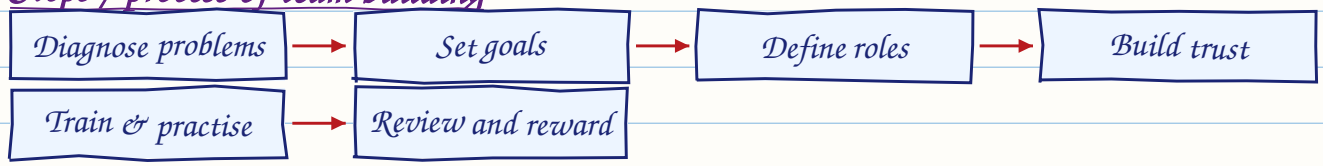
Types of teams

- **Problem-solving teams** , **self-managed (self-directed) teams** , **cross-functional teams** , **virtual teams** , **project teams** , **management teams** .

Team building — meaning

- Planned, systematic process of developing a group of individuals into an effective team with trust, commitment, co-operation and shared goals.

Steps / process of team building



Characteristics of an effective team

- Clear goals, relevant skills, mutual trust, unified commitment, good communication, appropriate leadership, internal and external support, balanced roles.
- **Belbin's team roles:** Plant, Resource Investigator, Co-ordinator, Shaper, Monitor-Evaluator, Teamworker, Implementer, Completer-Finisher, Specialist.

Techniques / activities for team building

- Outbound training and adventure activities; role clarification; team-building games and simulations; goal-setting workshops; problem-solving sessions; retreats; feedback sessions; process consultation.

Benefits

- Higher productivity, creativity, better morale, more flexibility, quick problem-solving, improved communication, reduced conflict.

Problems

- Social loafing, free riders, conflict, wrong composition, poor leadership, groupthink.

16. Conflict in the Organisation

- **Conflict** = disagreement or clash between two or more parties when one perceives that the other has obstructed or will obstruct its goals.

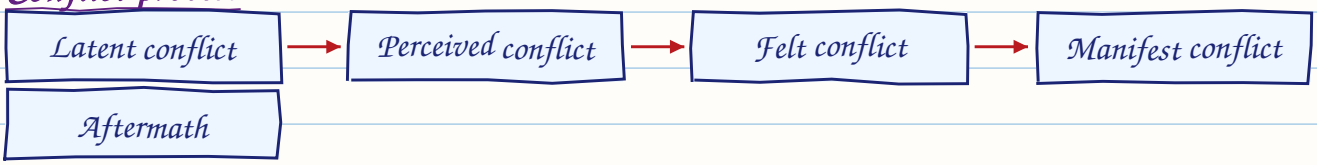
Levels / types of conflict

- Intra-individual (role conflict), inter-personal, intra-group, inter-group, inter-organisational.

Sources / causes in groups

- Limited resources; incompatible goals; differences in values, perceptions and personality; task interdependence; poor communication; ambiguous roles or responsibilities; competition for status and power; different time horizons; change.

Conflict process

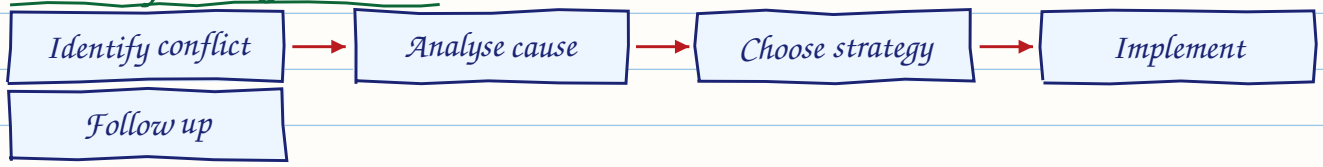


(Pondy's five stages — each conflict episode leaves an aftermath that influences future conflicts.)

Effects

	Positive effects	Negative effects
Individuals	creativity, motivation, self-awareness	stress, anger, absenteeism
Groups	better decisions, clarity of problems	lower cohesion, poor communication
Organisation	innovation, change, adaptation	wasted resources, lost productivity

17. Conflict Resolution



Approaches

- **Avoidance** — ignore or postpone; temporary.
- **Accommodation (smoothing)** — yield to others to keep peace.
- **Competition (forcing)** — use power to win.
- **Compromise** — each party gives up something.
- **Collaboration (integrative problem-solving)** — find a solution satisfying all (win–win).

Structural approaches

- Create **superordinate goals** (common goal for the conflicting groups).
- **Expand resources** , increase supply.
- **Clarify roles** and responsibilities; develop clear rules.
- **Job rotation** , **liaison roles** , integrator, **task forces** .
- **Authoritative command** — the manager decides.
- **Reward co-operation** rather than competition.

Third-party interventions

- **Mediation** (neutral person helps), **arbitration** (binding judgement), **conciliation** , **ombudsman** , **grievance redress committee** .

Inter-group conflict resolution techniques

- **Confrontation meeting / problem-solving** , **Bargaining and negotiation** (distributive vs integrative), **exchange of members** , **organisational development interventions** , **intergroup team building** .

Principles of managing conflict

- Address early; focus on issues not persons; listen actively; use facts; seek common ground; maintain respect; keep communication open; follow through.

→ Link: Individual-level conflict handling styles (Thomas–Kilmann) were explained in Unit III.

17A. Roles, Status and Power in Groups

Role concepts

- **Role identity** — attitudes and behaviours consistent with a role.
- **Role perception** — one's view of how to act in a given situation.
- **Role expectation** — how others believe a person should act.
- **Role conflict** — when complying with one role makes it hard to comply with another (e.g., a manager who is also a friend).
- **Role ambiguity** — unclear expectations.
- **Role overload / underload** — too much or too little to do.

Status

- Status can be **formal** (title, rank) or **informal** (education, skill, age, seniority).
- Status symbols: office size, car, designation, parking space.
- **Status inequity** — when members' perception of status differs from reality; causes frustration.

Power in groups (bases of power)

- Coercive, reward, legitimate, expert, referent.
- Groups use **politics, coalitions, bargaining** for influence.

17B. The Hawthorne Studies (importance for group behaviour)

- Conducted at Western Electric's Hawthorne plant (Chicago) by **Elton Mayo** (1924–32).

Experiment	Finding
Illumination experiments	productivity rose in both test and control groups; lighting was not the main factor
Relay assembly test room	special attention and group spirit raised output — the **Hawthorne effect**
Interviewing programme	employee grievances and feelings are linked to social factors, not only pay
Bank wiring observation room	informal group norms restricted output; the group controlled its members

- **Conclusions:** social needs, informal groups, group norms, participation and supervisory attention affect performance more than physical conditions. This led to the **Human Relations**

movement .

17C. Conformity and Group Pressure

- **Conformity** — adjusting one's behaviour to align with group standards.
- **Asch's experiment (1951):** in a line-judgement task about 35% of responses conformed to the group's obviously wrong answer.
- **Reference groups** push conformity; high-status members have more freedom to deviate.
- **Deviant workplace behaviour** — violating norms: theft, sabotage, aggression, withdrawal.

Individual vs group performance

Basis	Individual	Group
Accuracy	less accurate	usually more accurate
Speed	faster	slower
Creativity	less	more (if diverse)
Efficiency	more efficient	less efficient (people-hours)
Risk	personal	shared; group shift
Acceptance	low	high

17D. Informal Organisation and the Grapevine

- The **informal organisation** is the network of personal and social relations that arises spontaneously.
- **Grapevine** — informal communication network; fast, 75% accurate, flows in all directions.
- Types of grapevine chains: **single-strand, gossip, probability, cluster** (the cluster chain is the most common).

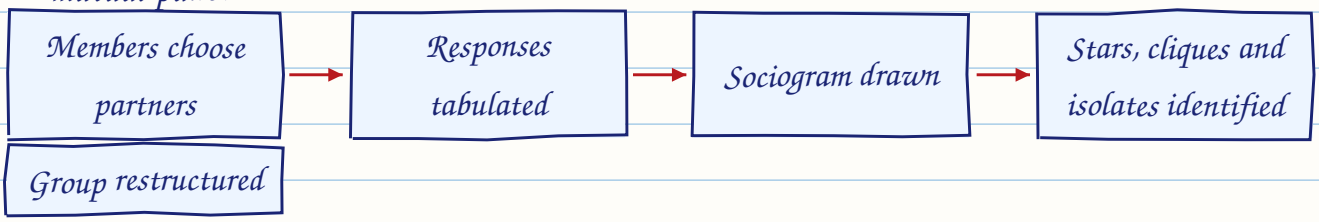
Positive and negative aspects

- Positive: speeds up communication, gives feedback to managers, supports social needs, builds morale.
- Negative: rumours, resistance to change, spreads incorrect information, lowers output through restrictive norms.
- Managers should **use** the informal organisation, not suppress it — identify opinion leaders and keep communication open.

17E. Sociometry and Group Analysis

- **Sociometry** (J. L. Moreno) — technique for studying the pattern of attraction and rejection among members by asking members to name preferred partners.
- Result is shown as a **sociogram** — diagram with stars (popular), isolates (ignored), cliques,

mutual pairs.



- **Johari window:** open, blind, hidden and unknown areas of self — useful in group feedback and team-building.

Effective group meeting — tips

- Clear agenda, right participants, start and end on time, encourage participation, record decisions and assign actions.

17F. Inter-group Relations and Intergroup Conflict

- **Intergroup behaviour** — how groups perceive, compete and cooperate with each other.
- When groups compete: each group becomes more cohesive; leadership becomes more autocratic and task-oriented; group loyalty rises; **"we vs they"** and stereotyping appear; perception is distorted ("our group is better").
- **Sherif's Robbers Cave experiment** — conflict between two boys' camps; ended when they were given superordinate goals.

Reducing intergroup conflict

Method	How it works
Superordinate goals	a goal both groups want, which neither can achieve alone
Increased contact	joint meetings, social events, job rotation
Integrating roles	liaison officers, task forces
Joint training and projects	shared experiences and understanding
Third-party consultation	OD consultants help in diagnosing and solving
Reward for cooperation	rewards are tied to joint performance

18. Quick Revision — Unit IV

Must remember

Group = 2 or more interacting, interdependent members | Types: formal (command, task) and informal (interest, friendship) | Tuckman: Forming, Storming, Norming, Performing, Adjourning | Norms = standards of behaviour | Cohesiveness + positive norms = high productivity | Group decision: brainstorming, NGT, Delphi | Groupthink | Team = synergy.

Possible exam questions

1. Define group dynamics. Explain nature and scope.
2. Explain the types of groups with examples.
3. What are the determinants of group behaviour?
4. Explain the stages of group development.
5. Define group norms and cohesiveness. How can cohesiveness be increased?
6. Explain group decision making techniques; discuss groupthink.
7. What is team building? How do you build an effective team?
8. Discuss the causes of conflict in organisations and methods of resolving it.

UNIT - V

Organizational Change and Development

1. Introduction

- Change is the **only constant** in modern organisations. Technology, competition, globalisation, customer expectations, laws and workforce diversity force firms to change continuously.
- **Organisational change** means moving from the present state to a desired future state.
- **Organisational Development (OD)** is the planned, long-term effort to improve the organisation's health and effectiveness through behavioural-science methods.
- Both change and development help organisations to **survive, adapt and grow** .

2. Meaning of Organisational Change

- Organisational change is any **alteration** in the structure, technology, people, strategy, tasks or culture of an organisation.

Definitions

Robbins: "Change is making things different."

Kurt Lewin: change is a modification of forces that keep a system's behaviour stable.

Stoner: "Organisational change is the process of modifying an organisation's structure, technology or people in response to internal or external forces."

3. Nature of Organisational Change

- **Inevitable and continuous** — happens all the time.
- **Planned or unplanned** (reactive).
- **Affects the whole system** — a change in one part affects other parts.
- **Involves people** — resistance, emotions, adaptation.
- **Pervasive** — at the individual, group and organisational level.
- **Goal-oriented** — to improve performance and survive.
- **Needs managerial support** — requires leadership, planning and communication.
- **Complex and risky** — success is not guaranteed.

4. Scope of Organisational Change

Area of change	Examples
Strategy / Mission	new markets, new products, mergers, diversification
Structure	restructuring, downsizing, flatter hierarchy, new departments

Area of change	Examples
Technology	automation, ERP, AI, digitalisation, new machinery
People	training, attitude change, new skills, recruitment, team building
Tasks and processes	re-engineering, job redesign, quality systems
Culture and values	ethical culture, customer focus, innovation
Physical setting	new layout, offices, remote work set-up

5. Forces for Change

External forces

competition, technology, government laws, economic conditions, globalisation, social trends, customer needs, political changes

Internal forces

new strategy, new leaders, employee dissatisfaction, workforce diversity, conflicts, poor performance, new equipment, mergers

- **Examples:** GST and digital payments, COVID-19 shifted work to online and hybrid mode, AI and automation changing job roles.

Types of change

- **Planned change** — deliberate, proactive, managed effort.
- **Unplanned (reactive) change** — forced by sudden events.
- **Incremental (first-order)** — small, continuous improvements (Kaizen).
- **Transformational (second-order)** — radical, deep changes (re-engineering, merger).
- **Anticipatory vs reactive change.**

6. Functions / Objectives of Change and Development

- Improve **organisational effectiveness** and adaptability.
- Increase **productivity, quality, profitability** .
- Develop **skills and attitudes** of employees.
- Improve **communication, collaboration, trust** .
- Resolve **conflicts** ; build **teams** .
- Introduce **new technology** and processes smoothly.
- Develop **leadership** and succession.
- Improve **quality of work life** and job satisfaction.
- Build a **learning organisation** , encourage innovation.

7. Organisational Development (OD) — Meaning, Nature and Scope

Definitions

Warren Bennis: "OD is a response to change, a complex educational strategy intended to change the beliefs, attitudes, values and structure of organisations so that they can better adapt to new technologies, markets and challenges."

Richard Beckhard: "OD is an effort planned, organisation-wide and managed from the top, to increase organisational effectiveness and health through planned interventions in the organisation's processes using behavioural-science knowledge."

Characteristics of OD

- Planned and systematic; organisation-wide; top-management supported.
- Uses **behavioural science** knowledge; relies on a **change agent / consultant** .
- Long-term; focuses on **processes** and people.
- Based on **humanistic values** — trust, openness, participation and collaboration.
- Action-research based; improves both **effectiveness and human satisfaction** .

Scope of OD

- Team development, leadership development, conflict handling, culture change, restructuring, career planning, quality of work life, communication and change implementation.

8. Organisational Culture (recap for Unit V)

- Culture = shared values, beliefs and norms that guide behaviour (see Unit III).
- It is made of **artifacts, espoused values and basic assumptions** (Schein).
- Strong cultures resist change; weak cultures change easily but lack direction.
- **Functions:** identity, commitment, stability, control, guide for behaviour.
- When strategy changes, culture must change to support it — "culture eats strategy for breakfast".

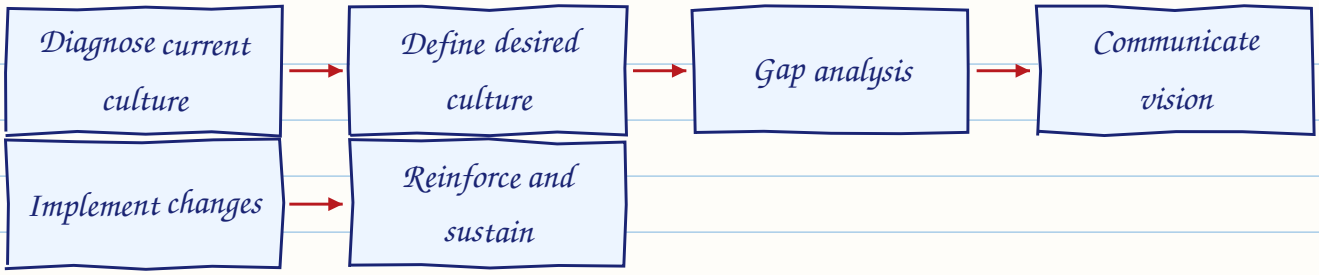
Need for changing culture

- Mergers and acquisitions (culture clash); poor performance; a dying market; new technology; new leadership; globalisation; ethical failures; crisis; fast growth.

9. Changing the Culture

Changing culture is **difficult, slow and takes years** because it is deeply rooted in assumptions.

Steps / methods for changing organisational culture



1. **Diagnose existing culture** through surveys, interviews, observation.
2. **Define the new values** and vision linked to strategy.
3. **Top management commitment** — leaders must "walk the talk" and be role models.
4. **Change the people** — recruit and promote people who fit the new culture; remove resisting ones.
5. **Restructure** systems — reward system, performance appraisal, structure, policies.
6. **Communicate through symbols, stories and rituals** which reinforce the new values.
7. **Training and development** in new behaviour and skills.
8. **Participation and involvement** of employees.
9. **Socialisation** of new employees; mentors.
10. **Reinforce** — celebrate success, reward the right behaviour.
11. **Monitor and evaluate** progress; modify.

Factors that help culture change

- Dramatic crisis, turnover in leadership, young and small organisation, weak culture.

Barriers

- Deep-rooted beliefs, fear of the unknown, vested interests, past success (complacency), poor communication, lack of top support.

10. Change Management — Meaning and Process

- **Change management** is the structured approach to transitioning individuals, teams and the organisation from a current state to a desired future state, minimising resistance and maximising the benefits.

Kurt Lewin's Three-Step Model



Stage	Meaning
Unfreezing	create awareness of the need for change; reduce restraining forces; show dissatisfaction with the status quo
Changing (Movement)	shift to the new state by new behaviours, structures, technology; training and participation

Stage	Meaning
Refreezing	stabilise the change; reinforce with rewards, policies, culture so that people do not go back

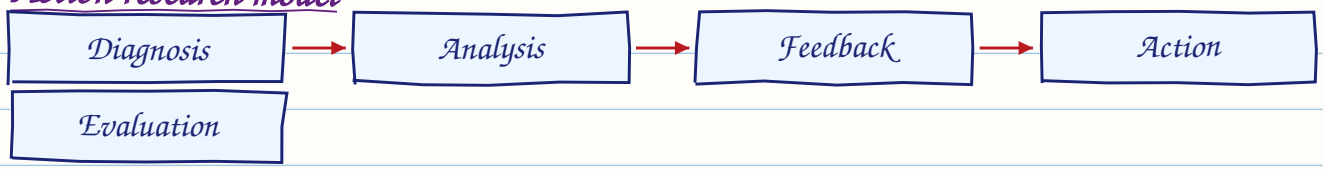
Force-field analysis (Lewin)

- Every situation is held in balance by **driving forces** (push towards change) and **restraining forces** (resist change). To change: increase driving forces, or (better) reduce restraining forces.

Kotter's 8-step model

1. Create a sense of **urgency** . 2. Build a guiding **coalition** . 3. Form a strategic **vision** . 4. **Communicate** the vision. 5. Empower **action** (remove obstacles). 6. Generate **short-term wins** . 7. Consolidate gains and produce more change. 8. **Anchor** the changes in the culture.

Action research model



- Systematic collection of data → analysis → feedback to the group → planned action → evaluation. It is the basis of OD.

ADKAR model (Prosci) for individuals

- **A** wareness → **D** esire → **K** nowledge → **A** bility → **R** einforcement.

11. Resistance to Change

Causes

Individual	Organisational
fear of the unknown, habit, economic insecurity, selective perception, loss of status, lack of skills	structural inertia, limited focus of change, group inertia, threat to power and resources, past agreements

- Also: poor communication; distrust of management; belief that change is not needed; timing and surprise; peer pressure.

Forms of resistance

- Overt (strikes, complaints), implicit (reduced effort, absenteeism, lateness), immediate or deferred.

Overcoming resistance (Kotter and Schlesinger)

Approach	When used
Education and communication	when information is lacking
Participation and involvement	when initiators lack information and others have power to resist
Facilitation and support	when fear and anxiety are the problem: counselling, training

Approach	When used
Negotiation and agreement	when some group will clearly lose out
Manipulation and co-optation	when other tactics fail or are too costly (risky)
Explicit and implicit coercion	when speed is essential and change initiators have power

→ Best strategy: participation, communication and support — build trust before the change.

Role of change agent

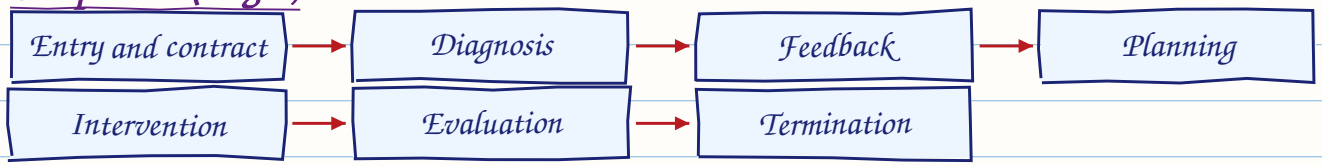
- A **change agent** is a person or group (internal manager or external consultant) responsible for managing the change. External agents bring objectivity but lack knowledge of the organisation.

12. Approaches to Managing Planned Change — OD Interventions

Level	Interventions
Individual	sensitivity training (T-group), counselling, coaching, career planning, skill training
Group / team	team building, process consultation, survey feedback, role analysis, quality circles
Inter-group	intergroup problem-solving, confrontation meetings
Organisation-wide	survey feedback, MBO, TQM, re-engineering, Grid OD, restructuring, culture change, learning organisation

- **Sensitivity training:** unstructured group sessions to increase self- and others' awareness.
- **Survey feedback:** questionnaire data are fed back to employees and used for action.
- **Process consultation:** consultant helps the client to see and solve process problems.
- **Appreciative inquiry:** focuses on the organisation's strengths and success stories.
- **Business Process Re-engineering (BPR):** radical redesign of processes for dramatic improvement.

OD process (stages)



- OD values: respect for people, trust, support, power equalisation, confrontation of problems, participation.

13. Work Stress Management

Meaning

- **Stress** is a dynamic condition in which an individual faces an opportunity, constraint or demand related to what he desires, and for which the outcome is perceived to be both uncertain and important (Robbins).

- It is the body's reaction to demands that exceed the person's coping capacity.
- **Eustress** (positive stress — motivating) vs **Distress** (negative stress — harmful).

Hans Selye's General Adaptation Syndrome (GAS)

Alarm reaction → Resistance → Exhaustion

Causes (Stressors) of work stress

Organisational
heavy workload, tight deadlines, role conflict and ambiguity, poor supervision, lack of participation, unsafe conditions, job insecurity, office politics

Individual
family problems, financial worries, health, personality (Type A), lack of coping skills

Environmental
economic uncertainty, political uncertainty, technological change, social unrest

Job-related
boredom, monotony, repetitive work, long hours, shift work, lack of control

Consequences of stress

Type	Symptoms
Physiological	headache, high blood pressure, heart disease, ulcers, fatigue, sleeplessness
Psychological	anxiety, depression, irritability, low concentration, job dissatisfaction
Behavioural	absenteeism, turnover, reduced productivity, accidents, substance abuse, aggression

- **Burnout:** state of emotional, mental and physical exhaustion from prolonged stress; reduced sense of accomplishment.
- Cost to organisation: lower performance, health costs, absenteeism, conflicts.

Individual differences in stress

- Perception, job experience, social support, personality (Type A people suffer more), locus of control, hardiness.

14. Strategies for Managing Stress

Individual strategies

- Time management; physical exercise and yoga; meditation and relaxation; healthy diet and sleep; hobbies; social support network; positive thinking; counselling; setting realistic goals; learning to say "no"; work–life balance.

Organisational strategies

- Better selection and placement; realistic goal setting (MBO).
- **Job redesign** — more autonomy, variety, feedback.
- Clarify roles; reduce role conflict and overload.
- Employee participation and communication; supportive supervision.
- **Employee Assistance Programmes (EAP)**, wellness programmes, counselling and health check-ups.
- Flexible working hours, work from home, leave policies, recreation facilities.
- Fair reward and recognition; career planning; safe working environment; training in stress management.

Level	Method
Primary prevention	remove or reduce the stressor (redesign job, reduce workload)
Secondary management	train people to cope (relaxation, time management)
Tertiary / treatment	heal damage — counselling, therapy, medical care

→ Stress is not always bad — managers should aim for an **optimal level** of stress (eustress) which motivates people.

15. Organisational Management for Change and Development

- Managing an organisation through change requires the **integration of structure, people, technology and culture**.
- **Learning organisation (Peter Senge)** — an organisation that continuously learns and adapts. Five disciplines: **personal mastery, mental models, shared vision, team learning, systems thinking**.
- **Knowledge management**, innovation and creativity encouraged.
- **Organisational effectiveness:** goal attainment, resource acquisition, internal process, satisfaction of stakeholders.

Leadership role in change

- Provide vision, create urgency, communicate, build coalition, remove barriers, reward progress, model the new behaviour.

Organisational health indicators

- Clear goals, trust, openness, commitment, low turnover, cooperation, adaptability, rapid problem-solving.

16. Managerial Implications of Organisational Change and Development

- **Plan the change** — define goals, resources, time, people, risks.
- **Involve employees** — participation reduces resistance and builds ownership.
- **Communicate openly** — explain why, what, how and what's in it for them.
- **Develop skills** — training for new technology and roles.
- **Provide support** — counselling, job security reassurance, rewards.
- **Build a supportive culture** — trust, openness to experiment, learning from mistakes.
- **Use the right change agent** and top-level sponsorship.
- **Manage resistance** actively; deal with it sympathetically.
- **Timing and pace** — right moment; go step by step where possible; quick wins.
- **Monitor and evaluate** — measure outcomes; give feedback; modify.
- **Reinforce** — refreeze through rewards and policies.
- **Manage stress** of employees during change; maintain work–life balance.
- **Ethical concerns** — fair treatment in layoffs and restructuring; protect rights.

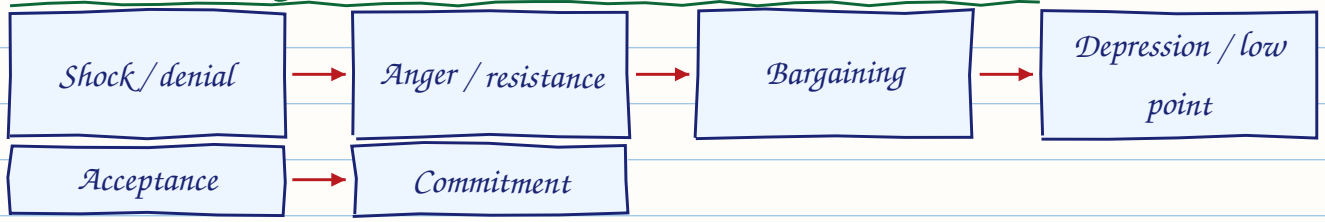
Benefits of successful OD

Higher productivity | Better morale | More adaptability | Improved teamwork and communication | Reduced conflict | Leadership development | Stronger culture | Competitive advantage.

Limitations / problems of OD

- Time-consuming and costly; depends on top management support; results are hard to measure; employee resistance; wrong consultants; temporary effect if not reinforced; may be seen as manipulation.

16A. The Change Curve — How People React to Change



- People move through emotional stages (adapted from Kübler-Ross); productivity dips at the low point and rises after acceptance.
- Managers must give **time, information and support** at every stage.

Example of force-field analysis (introducing a new computer system)

Driving forces (+)	Restraining forces (–)
faster work, lower errors, competition, top-management push	fear of job loss, lack of skill, cost, habit

Driving forces (+)	Restraining forces (–)
customer demand for online service	fear of the unknown, mistrust of management
incentive for learning	group resistance, lack of time for training

- Strategy: increase training and incentives (add driving force) and reduce fear through communication (reduce restraining force).

16B. Greiner's Growth Model — Change over the Organisational Life Cycle

Phase	Growth through	Crisis that follows
Phase 1	Creativity	crisis of leadership
Phase 2	Direction	crisis of autonomy
Phase 3	Delegation	crisis of control
Phase 4	Co-ordination	crisis of red tape
Phase 5	Collaboration	crisis of growth / renewal

- Each phase of growth ends in a crisis that forces a change in management practice.

16C. Contemporary Approaches to Change

Total Quality Management (TQM)

- Continuous improvement of quality by involving all employees; customer focus; process improvement; use of facts; teamwork (Deming's PDCA cycle: **Plan – Do – Check – Act**).

Business Process Re-engineering (BPR)

- "Fundamental rethinking and radical redesign of business processes to achieve dramatic improvements" — Hammer and Champy.

Kaizen

- Japanese approach of small, continuous, everyone-involved improvements.

Downsizing, outsourcing, mergers

- Cost-cutting measures that create anxiety, "survivor syndrome", and require careful communication and fair treatment.

Digital transformation

- Use of AI, automation, cloud, analytics and remote work → needs reskilling, new leadership and flexible culture.

Learning organisation (Senge) — five disciplines

Personal mastery	Mental models
continuous personal growth and learning	challenging deep-seated assumptions

Shared vision
common picture of the future

Team learning
dialogue and collective thinking

Systems thinking
seeing the whole and inter-relationships — the fifth discipline

16D. Creating a Culture for Change and Innovation

- Encourage **risk-taking**, tolerate failure, reward ideas, free communication; flexible structure; support for experimentation and creativity.
- **Intrapreneurship** — entrepreneurial spirit inside the organisation (e.g., 3M's 15% time rule, Google's 20% time).
- **Idea generation → screening → pilot → rollout → feedback**.

Characteristics of a change-ready organisation

- Visionary leadership, flat structure, high trust, learning orientation, a customer focus, employee empowerment, rapid communication, rewards for innovation.

16E. Stress — More Details

Type A and Type B personalities (Friedman and Rosenman)

Basis	Type A	Type B
Time	always short of time, impatient	relaxed, no urgency
Competition	very competitive, aggressive	non-competitive, easy-going
Risk	high risk of heart disease	lower health risk
Work	works fast, multi-tasks	steady, enjoys leisure

Stages of burnout

Enthusiasm → Stagnation → Frustration → Apathy → Burnout

Stress and performance — the inverted U

- **Too little stress** → boredom, low performance. **Moderate stress** → peak performance. **Too much stress** → breakdown and poor performance.

Coping mechanisms

- **Problem-focused coping** — tackle the source (plan, delegate, negotiate).
- **Emotion-focused coping** — manage feelings (talk, relax, meditate, humour).
- **Social support** — family, friends, colleagues and mentors.
- **Hardiness** — commitment, control and challenge attitudes.

Stress audit in organisations

- Surveys, absenteeism and turnover data, health records, exit interviews → identify high-stress jobs and take action.

Yoga, meditation and wellness

- Pranayama, mindfulness, workplace yoga sessions, gym and sports facilities, healthy canteen food, work–life balance policies are popular tools in Indian organisations.

16F. Evaluating the Success of Change

Measure	Indicators
Financial	profit, cost savings, return on investment
Operational	productivity, quality, cycle time, error rate
People	satisfaction, morale, turnover, absenteeism, grievances
Customer	satisfaction, retention, complaints
Process of change	adoption rate, participation, training completed
Cultural	values survey results, climate scores

- Use **before and after comparison** , follow-up surveys and feedback loops; adjust the plan.

17. Case Illustrations

Case 1 — Culture change

A traditional public-sector bank wants to become customer-centric and digital. Steps: new vision, training staff in digital tools, change in appraisal system to reward service quality, young leaders as role models, communication through town halls → gradual change in values.

Case 2 — Resistance

Employees resist a new ERP system for fear of job loss and learning difficulty. Management provides training, shows job benefits, involves staff in the pilot, gives support helpline → resistance reduces.

Case 3 — Stress

A call-centre employee faces long shifts and abusive customers → burnout. The company introduces counselling, flexible rosters, short breaks and recognition → stress and turnover reduced.

18. Quick Revision — Unit V

Key points

Change = internal + external forces | Lewin: Unfreeze → Change → Refreeze | Kotter's 8 steps | Resistance: individual and organisational; overcome by communication, participation, support | OD = planned, behavioural-science based, top-supported | Culture change takes time: diagnose, role models, reward system | Stress: stressors → GAS (alarm, resistance, exhaustion) | Manage with job redesign, EAP, time management.

Possible exam questions

1. Define organisational change. Explain nature, scope and forces for change.
2. Explain Lewin's model and Kotter's 8-step model of change management.
3. Why do employees resist change? How can resistance be overcome?
4. What is OD? Explain the OD process and interventions.
5. How can organisational culture be changed?
6. Explain the causes and consequences of work stress. Discuss stress management strategies.
7. Explain the managerial implications of organisational change and development.